



Interim Report of the Dino Polska S.A. Group for H1 2021



Unofficial translation. Only the Polish version is binding.

Dino Polska Spółka Akcyjna („Dino”, „Company”, „parent company”)

joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. Taxpayer Identification Number [NIP]: 6211766191, Statistical Number [REGON]: 300820828.

The Company's share capital as at 30 June 2021 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("Interim H1 2021 Report", "Report") comprises the interim condensed consolidated financial statements of the Dino Polska S.A. Group ("Group", "Dino Group") for the 6-month period ended 30 June 2021 ("Financial Statements"), the Company's interim condensed financial statements for the 6-month period ended 30 June 2021 and additionally the information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 19 August 2021 ("Report Date"). The date of publication is 20 August 2021.

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
Sales revenue	6,011,032	4,685,796	1,321,919	1,055,051
Operating profit	438,429	334,847	96,417	75,394
Profit before tax	418,066	309,714	91,939	69,735
Net profit	341,009	251,915	74,993	56,721
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	3.48	2.57	0.76	0.58
Cash flow from operating activities	528,477	137,479	116,220	30,955
Cash flow from investing activities	(708,895)	(435,624)	(155,897)	(98,085)
Cash flow from financing activities	(96,211)	205,000	(21,158)	46,158
Net change in cash and cash equivalents	(276,629)	(93,145)	(60,835)	(20,972)

* In the case of data in EUR, the average EUR/PLN for the final day of each month belonging to the reporting period, as published by the National Bank of Poland was used:

- NBP's average exchange rate for H1 2021: PLN 4.5472/EUR;
- NBP's average exchange rate for H1 2020: PLN 4.4413/EUR;

	PLN 000s		EUR 000s*	
	30.06.2021	31.12.2020	30.06.2021	31.12.2020
Total assets	5,832,441	5,570,510	1,290,135	1,207,097
Total non-current assets	4,628,967	4,053,812	1,023,927	878,437
Total current assets	1,203,474	1,516,698	266,208	328,660
Equity	2,607,572	2,266,563	576,794	491,151
Share capital	9,804	9,804	2,169	2,124
Non-current liabilities	1,013,364	1,223,256	224,156	265,072
Current liabilities	2,211,505	2,080,691	489,184	450,873

* In the case of data in EUR, the average EUR/PLN exchange rates in the period were used, as published by the National Bank of Poland:

- NBP's average exchange rate as at 30 June 2021: 4.5208 PLN/EUR;
- NBP's average exchange rate as at 31 December 2020: 4.6148 PLN/EUR.

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 30 June 2021, the Dino network consisted of 1,622 stores with a total selling area of 633,247 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 773, i.e. 91%, in the period of three years up to 30 June 2021. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its current store network, which in H1 2021 stood at 9.5% compared to the corresponding period of 2020. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standardized store design, equipped with parking places for its customers and supplied with fresh products every day of the week. The sales floor area in most stores is approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on six distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance Dino Polska's profitability.

Dino's strategy assumes further business development by focusing on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years Dino Polska generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

We regularly analyze the risks and opportunities related to climate change as we pursue Dino Polska's business objectives. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group. In H1 2021 Dino Polska continued to install photovoltaic panels on the rooftops of Dino stores whereby the Dino Polska Group's electricity demand is being satisfied to an ever greater degree by renewable energy sources. In H1 2021 the number of Dino stores outfitted with their own photovoltaic installations rose from 365 to 628 while the total capacity of these panels climbed to nearly 23 MW. In H1 2021 the Dino Group generated 7 GWh of electricity from the sun versus 1 GWh in the corresponding period of 2020.

2.1.2. Recap of the Dino Group's operations in H1 2021

In H1 2021, the Dino Group's revenue totaled PLN 6,011.0 million and was PLN 1,325.2 million, i.e. 28.3%, higher than in H1 2020. Concurrently, the cost of sales rose 27.6% to PLN 4,497.8 million.

In Q2 2021, the Dino Group's revenue totaled PLN 3,250.3 million and was PLN 784.9 million, i.e. 31.8% higher than in Q2 2020. Concurrently, the cost of sales rose 32.1% to PLN 2,441.5 million.

The table below presents selected line items from the consolidated statement of profit or loss.

(PLN 000s)	H1 2021	H1 2020	Change H1 '21/ H1 '20	Q2 2021	Q2 2020	Change Q2 '21/ Q2 '20
Sales revenue	6,011,032	4,685,796	28.3%	3,250,332	2,465,412	31.8%
Cost of sales	(4,497,778)	(3,523,703)	27.6%	(2,441,490)	(1,848,129)	32.1%
Gross profit on sales	1,513,254	1,162,093	30.2%	808,842	617,283	31.0%
Other operating income	4,157	3,633	14.4%	2,399	1,732	38.5%
Sales and marketing expenses	(1,022,285)	(782,202)	30.7%	(531,620)	(404,212)	31.5%
General administration expenses	(50,964)	(45,546)	11.9%	(25,655)	(23,654)	8.5%
Other operating expenses	(5,733)	(3,131)	83.1%	(3,302)	62	-
Operating profit	438,429	334,847	30.9%	250,664	191,211	31.1%
Financial income	644	2,729	-76.4%	451	2,132	-78.8%
Financial expenses.....	(21,007)	(27,862)	-24.6%	(10,385)	(11,917)	-12.9%
Profit before tax	418,066	309,714	35.0%	240,730	181,426	32.7%
Income tax.....	(77,057)	(57,799)	33.3%	(44,556)	(33,424)	33.3%
Net profit	341,009	251,915	35.4%	196,174	148,002	32.5%

In H1 2021 profit measured by EBITDA grew year on year by 28.9% to PLN 552.7 million. The EBITDA margin was 9.19% versus the 9.15% margin posted one year ago in H1 2020. In Q2 2021 profit measured by EBITDA grew by 29.8% to PLN 309.9 million. The EBITDA margin was 9.53%, i.e. 0.15 percentage points above Q2 2020.

The following table presents EBITDA.

(PLN 000s)	H1 2021	H1 2020	Change H1 '21/ H1 '20	Q2 2021	Q2 2020	Change Q2 '21/ Q2 '20
Net profit	341,009	251,915	35.4%	196,174	148,002	32.5%
Income tax.....	(77,057)	(57,799)	33.3%	(44,556)	(33,424)	33.3%
Result on financing activity	(20,363)	(25,133)	-19.0%	(9,934)	(9,785)	1.5%
EBIT	438,429	334,847	30.9%	250,664	191,211	31.1%
EBIT margin	7.29%	7.15%	-	7.71%	7.76%	-
Depreciation and amortization.....	(114,264)	(93,992)	21.6%	(59,247)	(47,486)	24.8%
EBITDA	552,693	428,839	28.9%	309,911	238,697	29.8%
EBITDA margin	9.19%	9.15%	-	9.53%	9.68%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in current stores (like for like, LfL)¹. LfL sales growth in H1 2021 was 9.5%. In H2 2021 LfL sales growth was 11.7%.

¹ Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	H1 2021	Q2 2021	Q1 2021	H1 2020	Q2 2020	Q1 2020	2020	2019	2018
Inflation (deflation).....	3.6	4.5	2.7	3.9	3.2	4.5	3.2	2.3	1.6
Food price inflation.....	1.1	1.6	0.6	7.1	6.4	7.7	4.7	4.9	2.6
Dino's LFL	9.5	11.7	7.0	13.3	7.8	20.3	12.6	11.6	11.6

Fresh products, including meat, cold cuts and poultry, accounted for 37.4% of the Group's sales in Q2 2021 and for 38.0% in the first half of 2021.

The table below shows the structure of sales revenues by product in individual periods.

%	H1 2021	H1 2020	Q2 2021	Q2 2020
Fresh products.....	38.0	39.7	37.4	39.3
Other groceries*.....	49.2	47.5	49.8	47.9
Non-grocery products	12.8	12.8	12.8	12.8

** in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen food, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes*

Dino store network roll-out

In Q2 2021, 91 new Dino stores were launched. 150 new stores were opened in total in H1 2021 versus 84 in the corresponding period of last year. As at 30 June 2021, the Dino network numbered 1,622 stores, 320 more than last year.

The following table presents information on the Dino Group's number of stores on the specified dates.

	Number of stores as at 30 June		Number of stores as at 31 December		
	2021	2020	2020	2019	2018
Number of new store openings in H1 / year	150	84	255	243	202
Total number of stores	1622	1302	1473	1218	977
Total selling area (m ²).....	633,247	505,095	573,489	472,224	375,715
Growth of sales area y/y.....	25.4%	23.9%	21.4%	25.7%	27.3%

Cost of sales

The cost of sales was 74.8% and 75.2% of revenue, respectively in H1 2021 and H1 2020. The cost of sales rose PLN 974.1 million, i.e. by 27.6% to PLN 4,497.8 million in H1 2021 with a corresponding 28.3% increase of revenue. This growth was chiefly driven by the greater magnitude of the Dino Group's business size in connection with the Dino store network expansion and rising sales in the existing store network (LFL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 240.1 million, i.e. 30.7% to PLN 1,022.3 million in H1 2021. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the Dino store network and rising LFL sales in its existing stores, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

General administration expenses

General administration expenses rose PLN 5.4 million, or 11.9%, to PLN 50.1 million in H1 2021. This was caused mainly by the expansion of the Dino store network (some administrative functions expanded in line with the Dino store network).

Costs by nature

The table below presents costs by nature.

(PLN 000s)	H1 2021	H1 2020	Change H1 '21/ H1 '20	Q2 2021	Q2 2020	Change Q2 '21/ Q2 '20
Depreciation and amortization.....	114,264	93,992	21.6%	59,247	47,486	24.8%
Consumption of materials and energy	480,657	440,713	9.1%	255,030	227,816	11.9%
External services	187,991	149,633	25.6%	93,926	71,932	30.6%
Taxes and fees*	113,553	27,025	320.0%	61,175	13,355	358.1%
Costs of employee benefits.....	747,372	571,520	30.8%	384,519	301,638	27.5%
Other costs by nature.....	23,557	17,483	34.7%	13,670	11,084	23.3%
Cost of goods and materials sold	3,909,085	3,058,887	27.8%	2,130,534	1,603,557	32.9%
Total costs by nature, including:	5,576,479	4,359,253	27.9%	2,998,101	2,276,868	31.7%
Items captured in cost of sales	4,497,778	3,523,703	27.6%	2,441,490	1,848,129	32.1%
Items captured in sales and marketing expenses.....	1,022,285	782,202	30.7%	531,620	404,212	31.5%
Items captured in general administration expenses...	50,964	45,546	11.9%	25,655	23,654	8.5%
Movement in products.....	5,452	7,802	-30.1%	-664	873	-

* the increase in the line item "Taxes and fees" follows from the retail sales tax, which took force at the beginning of 2021. In the Company's Q1 2021 report this tax was recognized in the line item "Costs of goods and materials sold"; after the change in the method of presentation the value of "Taxes and fees" in Q1 is PLN 52,378 thousand, while the "Cost of goods and materials sold" is PLN 1,778,551 thousand.

Total costs by nature increased by PLN 1,217.2 million, or 27.9%, to PLN 5,576.5 million in H1 2021 compared to PLN 4,359.3 million in H1 2020, mainly as a result of higher: (i) costs of merchandise and materials sold (up PLN 850.2 million), (ii) costs of employee benefits (up PLN 175.9 million) and (iii) taxes and fees (up PLN 86.5 million – due to growing business size and the introduction of the retail sales tax).

The costs of employee benefits rose PLN 175.9 million, i.e. 30.8% to PLN 747.4 million in H1 2021 compared to PLN 571.5 million in H1 2020. This growth resulted primarily from the higher number of Dino Group employees from 23,633 as at 30 June 2020 to 28,236 as at 30 June 2021 in connection with the Dino Group's expanding business size and the related expansion of the Dino store network and rising LFL sales in current stores and, to a smaller extent, from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 39.9 million, or 9.1%, to PLN 480.7 million in H1 2021 versus PLN 440.7 million in H1 2020. This growth was mainly caused by the Dino Group's growing business size and the ensuing expansion of the Dino store network and growing LFL sales in existing stores.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services increased by PLN 38.4 million, or 25.6%, to PLN 188.0 million in H1 2021 compared to PLN 149.6 million in H1 2020. This growth was mainly caused by the Dino Group's expanding business size and the related expansion of the Dino Group's store network and growing LFL sales in the existing store network.

Financial expenses

The Dino Group's financial expenses edged down PLN 6.9 million, or 24.6%, to PLN 21.0 million in H1 2021 compared to PLN 27.9 million in H1 2020. The decline in interest on loans and borrowings due to lower interest rates contributed to the level of financial expenses in H1 2021.

Balance sheet – assets

The table below presents selected line items of the balance sheet.

(PLN 000s)	2021-06-30	2021-03-31	2020-12-31	2020-06-30	Change 30.06.21 / 31.12.20	Change 30.06.21 / 30.06.20
Property, plant and equipment.....	4,345,648	4,004,232	3,749,480	3,170,229	15.9%	37.1%
Right-of-use assets	164,183	178,168	184,538	234,081	-11.0%	-29.9%
Intangible assets	97,902	98,460	99,050	99,824	-1.2%	-1.9%
Other non-financial assets (non-current)	2	4	6	10	-66.7%	-88.0%
Deferred tax assets	21,232	20,546	20,738	19,156	2.4%	10.8%
Total non-current assets.....	4,628,967	4,301,410	4,053,812	3,523,300	14.2%	31.4%
Inventories.....	889,653	920,601	875,147	714,163	1.7%	24.6%
Trade and other receivables	54,267	60,709	86,822	44,570	-37.5%	21.8%
Income tax receivables	88	0	2	0	-	-
Other non-financial assets	54,624	74,237	73,367	52,647	-25.5%	3.8%
Other financial assets.....	1,053	985	942	437	11.8%	141.0%
Cash and cash equivalents	203,789	283,124	480,418	301,575	-57.6%	-32.4%
Total current assets.....	1,203,474	1,339,656	1,516,698	1,113,392	-20.7%	8.1%
TOTAL ASSETS.....	5,832,441	5,641,066	5,570,510	4,636,692	4.7%	25.8%

Total assets increased by PLN 261.9 million, i.e. 4.7%, from PLN 5,570.5 million as at 31 December 2020 to PLN 5,832.4 million as at 30 June 2021. Compared to 30 June 2020, total assets rose by PLN 1,195.7 million, or 25.8%.

As at 30 June 2021, the main components of total assets were: (i) property, plant and equipment (constituting 74.5%), (ii) inventories (constituting 15.3%) and (iii) cash and cash equivalents (constituting 3.5%).

Non-current assets rose by PLN 575.2 million, i.e. 14.2%, from PLN 4,053.8 million as at 31 December 2020 to PLN 4,629.0 million as at 30 June 2021. Compared to 30 June 2020, non-current assets rose by PLN 1,105.7 million, or 31.4%. In both cases this growth was mainly caused by higher property, plant and equipment which, in turn, was caused primarily by Dino's network rollout and capital expenditures.

Non-current assets diminished by PLN 313.2 million, i.e. 20.7%, from PLN 1,516.7 million as at 31 December 2020 to PLN 1,203.5 million as at 30 June 2021. Compared to 30 June 2020, non-current assets rose by PLN 90.1 million, or 8.1%.

Balance sheet – liabilities and equity

The table below presents selected line items of the balance sheet.

(PLN 000s)	2021-06-30	2021-03-31	2020-12-31	2020-06-30	Change 30.06.21 / 31.12.20	Change 30.06.21 / 30.06.20
Equity	2,607,572	2,411,398	2,266,563	1,874,268	15.0%	39.1%
Share capital	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	2,699,610	2,063,322	2,063,322	1,652,132	30.8%	63.4%
Retained earnings	(109,342)	330,772	185,937	204,832	-158.8%	-153.4%
Other equity	7,500	7,500	7,500	7,500	0.0%	0.0%
Total equity	2,607,572	2,411,398	2,266,563	1,874,268	15.0%	39.1%
Interest-bearing loans and borrowings	675,107	723,582	725,851	798,075	-7.0%	-15.4%
Lease liabilities (LT)	53,679	61,358	67,876	84,814	-20.9%	-36.7%
Other liabilities	150	150	180	180	-16.7%	-16.7%
Liabilities by virtue of outstanding securities (LT)	249,937	419,937	419,936	169,932	-40.5%	47.1%
Provisions for employee benefits	2,844	2,847	2,844	1,830	0.0%	55.4%
Deferred tax liability	31,638	21,681	6,555	19,369	382.7%	63.3%
Accruals and deferred revenue (LT)	9	7	14	11	-35.7%	-18.2%
Total non-current liabilities	1,013,364	1,229,562	1,223,256	1,074,211	-17.2%	-5.7%
Trade and other payables	1,713,023	1,614,817	1,695,163	1,277,115	1.1%	34.1%
Current part of interest-bearing loans and borrowings	215,919	218,139	216,868	181,564	-0.4%	18.9%
Lease liabilities (ST)	33,515	37,452	42,249	50,310	-20.7%	-33.4%
Liabilities by virtue of outstanding securities (ST)	170,907	905	930	100,555	18277.1%	70.0%
Income tax liabilities	6,721	69,753	80,509	32,474	-91.7%	-79.3%
Accruals and deferred revenue (ST)	70,088	57,711	43,640	45,175	60.6%	55.1%
Provisions for employee benefits and other provisions	1,332	1,329	1,332	1,020	0.0%	30.6%
Total current liabilities	2,211,505	2,000,106	2,080,691	1,688,213	6.3%	31.0%
Total liabilities	3,224,869	3,229,668	3,303,947	2,762,424	-2.4%	16.7%
TOTAL EQUITY AND LIABILITIES	5,832,441	5,641,066	5,570,510	4,636,692	4.7%	25.8%

As at 30 June 2021, the main components of liabilities were: (i) trade and other payables representing 53.1%; (ii) interest-bearing loans and borrowings (long-term) representing 20.9% thereof and (iii) liabilities under outstanding securities (long-term) representing 7.8%.

Total liabilities dipped PLN 79.1 million, i.e. 2.4%, from PLN 3,303.9 million as at 31 December 2020 to PLN 3,224.9 million as at 30 June 2021. Total liabilities rose by PLN 462.4 million, i.e. 16.7% from PLN 2,762.4 million as at 30 June 2020 to PLN 3,224.9 million as at 30 June 2021.

Total liabilities dropped by PLN 209.9 million, or 17.2%, from PLN 1,223.3 million as at 31 December 2020 to PLN 1,013.4 million as at 30 June 2021, mainly due to the reclassification of some of the long-term liabilities under outstanding securities to current liabilities. Compared to 30 June 2020, non-current liabilities fell by PLN 60.9 million, or 5.7%.

Current liabilities climbed PLN 130.8 million, or 6.3% from PLN 2,080.7 million as at 31 December 2020 to PLN 2,211.5 million as at 30 June 2021. Compared to 30 June 2020, current liabilities increased by PLN 523.3 million, or 31.0%, driven predominantly by an increase in trade and other payables (up PLN 435.9 million, as a result of the Dino Group's expanding business size).

The Dino Group's net debt² stood at PLN 1,195.3 million as at 30 June 2021, signifying growth of PLN 202.0 million compared to 31 December 2020 and growth of PLN 111.6 million compared to 30 June 2020. The net debt to EBITDA ratio for the last 12 months was 1.0x as at 30 June 2021 versus 1.3x one year ago.

Cash flows

The table below presents selected line items of the statement of cash flows.

(PLN 000s)	H1 2021	H1 2020	Change H1 '21/ H1 '20	Q2 2021	Q2 2020	Change Q2 '21/ Q2 '20
Net cash from operating activities, including:	528,477	137,479	284.4%	335,382	117,734	184.9%
<i>profit before tax</i>	418,066	309,714	35.0%	240,730	181,427	32.7%
<i>depreciation and amortization</i>	114,264	93,992	21.6%	59,247	47,486	24.8%
<i>movement in working capital</i>	92,683	(209,038)	-	104,663	(64,182)	-
<i>Other</i>	(96,536)	(57,190)	68.8%	(69,258)	(46,998)	47.4%
Net cash from investing activities	(708,895)	(435,624)	62.7%	(342,046)	(206,885)	65.3%
Net cash from financing activities	(96,211)	205,000	-	(72,671)	34,987	-
Net increase in cash and cash equivalents	(276,629)	(93,145)	197.0%	(79,335)	(54,165)	46.5%

The Dino Group generated net operating cash flow in H1 2021 totaling PLN 528.5 million, 284.4% more than in H1 2020. The increase in net cash from operating activities was driven mainly by growing business size, which translated into a higher profit before tax and improvement in working capital.

Net cash flow from investing activities totaled PLN -708.9 million in H1 2021 and was up PLN 273.3 million, or by 62.7% compared to investing cash flow in H1 2020. This was mostly caused by the higher number of new Dino store openings in H1 2021 and the development of storage capacity. The construction of Dino Polska's sixth distribution center was completed in H1 2021 in Sieroniowice in the Opole region while the construction of a distribution center in Sierpc in the Masovian region was under way.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors may affect the Dino Group's business until the end of 2021:

- pace of new store openings by Dino Polska and the related capital expenditures,
- changes in consumer spending precipitated by evolving business conditions,
- epidemiological situation in Poland,
- growth rate of the prices of consumer goods and services, in particular food and soft drinks,
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, as well as improved efficiency of logistics services provided to all stores.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

² defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.

2.1.4. Threats and risks related to the other months of the year

Changes to the general economic situation, which are beyond Dino Group's control, may result in lower consumer demand, which may have an adverse impact on the Dino Group's business

The Dino Group operates in Poland on the grocery retail market, which depends on the demand generated by consumers. The demand generated by consumers is a result of a number of factors beyond the Dino Group's control, in particular the macroeconomic situation and political conditions. Change of the economic factors in the market in Poland, in the EU or globally, including the change in the GDP growth rate, total inflation, deflation of food prices, increase of the unemployment rate, decline of salaries or decrease of expenditures on consumption and investments, may have adverse impact on the Dino Group or the sector in which the Dino Group operates, including the sales revenues generated by the Dino Group or its costs.

The deterioration of the epidemiological situation could have an adverse effect on the activity of the Dino Group

The Company monitors the epidemiological situation in Poland and its impact on its business on an ongoing basis. As at the date of these interim consolidated financial statements, all areas of the Company's operating activity are performing efficiently and there are no significant reasons for revising the performance targets or plans set by the Management Board for 2021.

Even though the Company has undertaken multiple preventive measures and implemented a rigorous sanitary regime in all of its operating areas, one cannot preclude that it will not be capable of fully anticipating and preventing any and all possible consequences of the further spread of the epidemic. The implementation of new restrictions by the Polish government and the application of home-based quarantine to the general populace may affect the Dino Group unfavorably, including the sales revenue generated by the Dino Group, the costs it incurs, business continuity in various areas and the Company's supply chain.

Demanding situation on the labor market may adversely affect the Dino Group's business

The Dino Group operates in a sector characterized by relatively high employee turnover. The low level of unemployment in Poland, which is accompanied by a high level of competition for store employees between entities operating in the retail trade sector, may contribute to the Dino Group sustaining higher employee attrition and troubles with attracting new employees. Moreover, the aforementioned factors may exert more pressure on raising the costs of wages. The occurrence of these circumstances may exert an adverse impact on the Dino Group's business, its financial standing, performance or prospects.

The Dino Group may not be able to implement its store rollout strategy

The Dino Group's strategy provides for, among others, further growth through continuation of fast organic growth of the store network. Successful implementation of the Dino Group's development strategy depends, among others, on the economic conditions, access to external financing, absence of unfavorable changes in the regulatory environment, finding real estate on acceptable commercial terms which satisfy the requirements set by the Dino Group, efficient opening of new stores, employment, training and retention of store personnel, and integration of the new stores with the supply chain operating in the Dino Group in a manner ensuring the highest possible profitability.

Even if the Dino Group manages to open new stores in line with the adopted strategy, the newly opened stores may not break even within the originally assumed timelines or at all, or the increase in sales revenues or sales revenue in the current store network (LFL) may turn out lower than assumed by the Management Board, and the Dino Group may be exposed to incurring additional, unexpected costs associated with opening new stores. In addition, the analysis carried out by the Dino Group before opening a given store may turn out incorrect among others due to lower than expected customer traffic in the vicinity of the store or unexpected circumstances. The occurrence of these circumstances may exert an adverse impact on the Dino Group's business, its financial standing, performance or prospects.

The market on which the Dino Group conducts operations is characterized by high competition, and the pressure from the competitors may have adverse impact on the margins or growth prospects

The market on which the Dino Group conducts operations is characterized by high competition due to the presence and constant growth of big organized retail chains, including supermarkets, discount stores and convenience stores, which frequently operate on a scale greater than the Dino Group's scale of business. There is no certainty that the Dino Group will be able to compete effectively with its current or future competitors, in particular in terms of prices and promotions and in terms of the product assortment offered, which could bring about a decline in the Dino Group's rate of growth, stagnation or a decline in the Dino Group's market share and a reduction in its profitability. As a consequence, this could adversely affect the Dino Group's business, financial position and results.

Changes in the tax law applicable to the operations of the Dino Group or its interpretation, as well as changes in individual tax rulings may adversely affect the Dino Group

The activities of the Dino Polska Group are subject to various regulations in the field of tax law. There can be no assurance that the tax authorities will not issue a different tax ruling in regard to the tax regulations applied by the Company or Dino Group companies, which could be unfavorable to the Company or Dino Group companies. Also, there can be no assurance that the individual tax rulings obtained and applied by the Company or the Dino Polska Group companies will not change or be rendered inoperative. One cannot preclude the possibility of the tax authorities challenging the correctness of tax settlements made by the Company or the Dino Group companies, which may have an adverse effect on the Dino Group's business, its financial standing and results. There is also a risk that, as new regulations and the new retail sales tax are implemented or VAT increases, the Company or the Dino Group companies will have to undertake adaptive efforts, caused by the circumstances, which may lead to considerable expenses or possibly to a decrease in the level of sales and revenues of the Dino Group.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino Polska shares.

The table below depicts the shareholding structure of Dino Polska S.A. as at the Report Date.

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ³	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member of the Company, held 30,000 Company shares as at the Report Date. Compared to the publication date of the Q1 2021 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, a Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the Q1 2021 report). Michał Muskala, a Management Board

³ BT Kapitał Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 160 thousand Company shares.

Member did not hold any shares in the Company as at the Report Date (no change compared to the publication date of the Q1 2021 report).

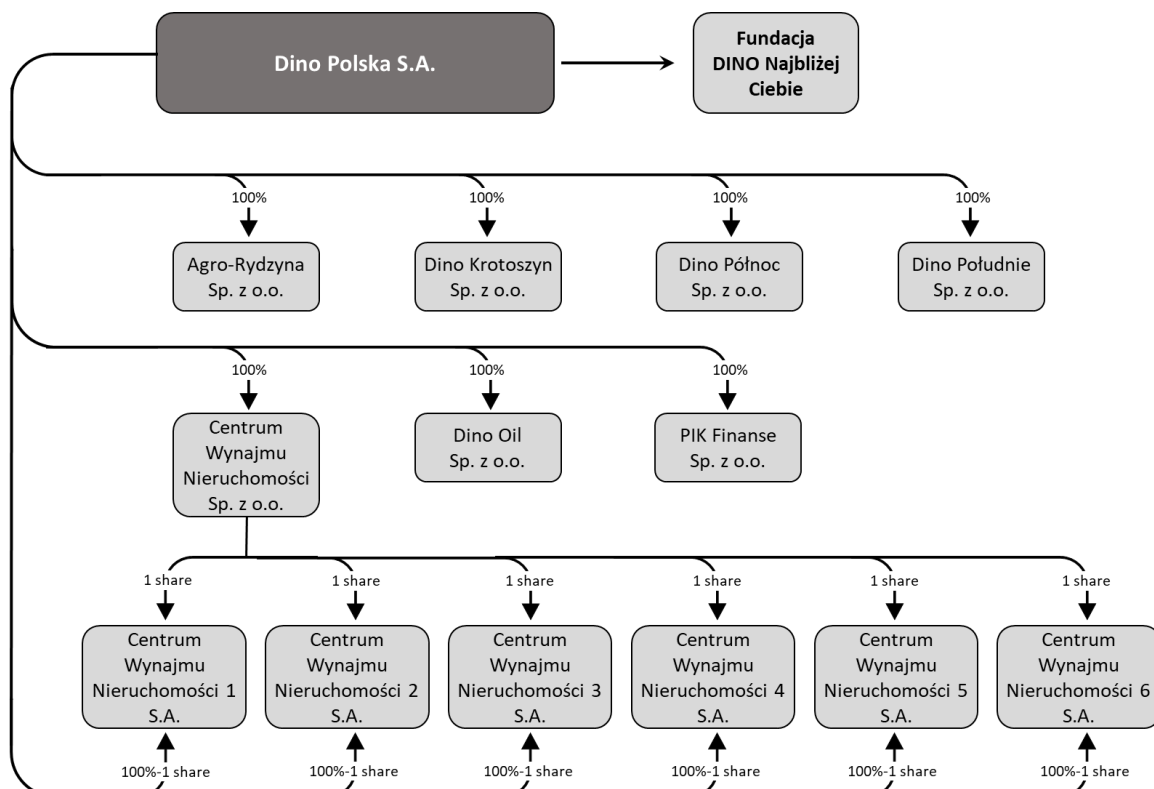
The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 29,890 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of shares in the Company held by the Supervisory Board members has not changed since the publication date of the Q1 2021 report.

2.3. Group – general information and description of the changes in its organization

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, the selection of the product range offered in the stores and it supports other subsidiaries (Real Estate Lease Centers) in the execution of investment processes related to securing new sites and building new stores. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a three-person Management Board in the following composition: Izabela Biadała, Chief Operating and Administrative Officer, Michał Krauze, Chief Financial Officer and Management Board Member and Michał Muskała, Chief Investment Project Officer and Management Board Member. The Company's Supervisory Board functions in a five-person composition (Tomasz Biernacki – Chairman and members: Eryk Bajer, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski). On 12 January 2021 Szymon Piduch tendered his resignation from membership in the Dino Polska Supervisory Board citing personal reasons as the basis for this decision.

The Group consists of Dino Polska S.A. and the following subsidiaries:



In the first half of 2021 there were no major changes to the organization of the Dino Polska Group.

Subsidiaries are subject to consolidation from the date when the Group assumes control over them, and they cease to be consolidated when control no longer exists. The parent company has control only if it:

- has power over a given entity,
- is subject to exposure, or has rights, to variable returns from its involvement in a given entity,
- has the ability to affect those returns by exercising its power.

The Company verifies the fact of having power over other entities if there is a situation indicating a change in one or more of the above mentioned pre-conditions for control. Where the Company holds less than a majority of voting rights in an entity, but the voting rights held are sufficient to unilaterally direct the relevant activities of that entity, this means that it exercises authority over the entity. When assessing whether the voting rights in a given entity are sufficient to secure power, the Company analyzes all material circumstances, including:

- the size of the holding of voting rights compared to the size of the holding of shares and the degree of dispersion of voting rights held by other shareholders;
- potential voting rights held by the Company, other shareholders or other parties;
- rights arising from other contractual arrangements; and
- additional circumstances, which may prove whether the Company has or does not have the ability to direct the relevant activities at the moment of the decisions, including voting patterns observed at previous shareholder meetings.

2.4. Other information

Correction of errors of previous periods

In the first half of 2021 the Company did not adjust any data from prior periods.

Non-recurring amounts and events

No atypical events exerting a material impact on Dino Polska's financial statements for H1 2021 transpired in the period from 1 January 2021 to 30 June 2021.

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2021.

Information about litigation and material proceedings pending in a competent body for arbitration or a public administrative authority

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

In the reporting period there were no related party transactions that were not executed on an arm's length basis. Information on related party transactions is set forth in note 24 to the Interim condensed consolidated financial statements of Dino Polska for H1 2021.

Sureties for loans or borrowings or guarantees extended by the issuer or its subsidiary

Neither Dino Polska, nor any subsidiary of Dino Polska extended any material sureties or guarantees to entities from outside the Dino Group in H1 2021.

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No material events other than the ones described in this Report and in Dino Polska's interim condensed consolidated financial statements for the 6-month period ended 30 June 2021 that could significantly affect the assessment of the Group's assets, financial position and financial result occurred in the reporting period.

Principles for the preparation of the interim condensed consolidated financial statements

The interim condensed consolidated financial statements have been prepared in accordance with International Financial Reporting Standard 34 "Interim Financial Reporting" approved by the European Union ("IAS 34").

These interim condensed consolidated financial statements do not contain all the information and disclosures required in annual financial statements and should be read jointly with the Group's consolidated financial statements for the year ended 31 December 2020 approved for publication on 11 March 2021. The interim condensed consolidated financial statements are presented in Polish zloty ("PLN"), while all the figures are stated in thousands of PLN, unless stated otherwise. The interim condensed consolidated financial statements have been drawn up under the going concern assumption for the Group companies in the foreseeable future.

As at 30 June 2021, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where most of the sales are carried out in cash, inventories are minimized and suppliers offer deferred terms of payment. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the value of new investments. Covenants related to loan agreements are monitored on an ongoing basis. As at the balance sheet date of 30 June 2021, there was no default on the terms and conditions of loan agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 30 June 2021. As at the balance sheet date, there are no circumstances indicating a threat to the business continuity of the Group's companies.

3. MANAGEMENT BOARD'S REPRESENTATION

According to its best knowledge, the Dino Polska S.A. Management Board ("Company") represents that:

- the interim condensed financial statements of Dino Polska S.A. for the 6-month period ended 30 June 2021 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the Dino Polska S.A. Group and its financial result,
- the interim consolidated condensed financial statements of the Dino Polska S.A. Group for the 6-month period ended 30 June 2021 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the Dino Polska S.A. Group and its financial result,
- the Management Board's Report on the Activity of the Dino Polska S.A. Group in H1 2021 contains a true picture of the development, accomplishments and position of Dino Polska and the Dino Group, including a description of the fundamental threats and risks.

Michał Krauze

Management Board
Member

Izabela Biadała

Management Board
Member

Michał Muskała

Management Board
Member

Krotoszyn, 19 August 2021

4. APPENDICES

- 4.1. Interim consolidated condensed financial statements of the Dino Polska S.A. Group for the 6-month period ended 30 June 2021
- 4.2. Interim condensed financial statements of Dino Polska S.A. for the 6-month period ended 30 June 2021
- 4.3. Auditor's reports on the review of the financial statements

DINO POLSKA S.A. GROUP

**INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
FOR THE 6-MONTH PERIOD ENDED 30 JUNE 2021
WITH THE INDEPENDENT AUDITOR'S REPORT ON ITS REVIEW**

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2021 prepared in accordance with the International Financial Reporting Standards approved for application in the EU
(in thousands of PLN)

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FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
Sales revenue	6,011,032	4,685,796	1,321,919	1,055,051
Operating profit	438,429	334,847	96,417	75,394
Profit before tax	418,066	309,714	91,939	69,735
Net profit	341,009	251,915	74,993	56,721
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	3.48	2.57	0.76	0.58
Cash flow from operating activities	528,477	137,479	116,220	30,955
Cash flow from investing activities	(708,895)	(435,624)	(155,897)	(98,085)
Cash flow from financing activities	(96,211)	205,000	(21,158)	46,158
Net change in cash and cash equivalents	(276,629)	(93,145)	(60,835)	(20,972)

* In the case of data in EUR, the average EUR/PLN for the final day of each month belonging to the reporting period, as published by the National Bank of Poland was used:

- NBP's average exchange rate for H1 2021: PLN 4.5472/EUR;
- NBP's average exchange rate for H1 2020: PLN 4.4413/EUR;

	PLN 000s		EUR 000s*	
	30.06.2021	31.12.2020	30.06.2021	31.12.2020
Total assets	5,832,441	5,570,510	1,290,135	1,207,097
Total non-current assets	4,628,967	4,053,812	1,023,927	878,437
Total current assets	1,203,474	1,516,698	266,208	328,660
Equity	2,607,572	2,266,563	576,794	491,151
Share capital	9,804	9,804	2,169	2,124
Non-current liabilities	1,013,364	1,223,256	224,156	265,072
Current liabilities	2,211,505	2,080,691	489,184	450,873

* In the case of data in EUR, the average EUR/PLN exchange rates in the period were used, as published by the National Bank of Poland:

- NBP's average exchange rate as at 30 June 2021: 4.5208 PLN/EUR;
- NBP's average exchange rate as at 31 December 2020: 4.6148 PLN/EUR.

INTERIM CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS

	Note	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020	01.04.2021- 30.06.2021	01.04.2020- 30.06.2020
		(unaudited)	(unaudited)	(unaudited)	(unaudited)
Continuing operations					
Sales revenue	8	6,011,032	4,685,796	3,250,332	2,465,412
Cost of sales	10.1	(4,497,778)	(3,523,703)	(2,441,490)	(1,848,129)
Gross profit on sales		1,513,254	1,162,093	808,842	617,283
Other operating income	10.2	4,157	3,633	2,399	1,732
Sales and marketing expenses	10.1	(1,022,285)	(782,202)	(531,620)	(404,212)
General administration expenses	10.1	(50,964)	(45,546)	(25,655)	(23,654)
Other operating expenses	10.3	(5,733)	(3,131)	(3,302)	62
Operating profit		438,429	334,847	250,664	191,211
Financial income	10.4	644	2,729	451	2,132
Financial expenses	10.5	(21,007)	(27,862)	(10,385)	(11,917)
Profit before tax		418,066	309,714	240,730	181,426
Income tax	11	(77,057)	(57,799)	(44,556)	(33,424)
Net profit from continuing operations		341,009	251,915	196,174	148,002
Net profit for the reporting period		341,009	251,915	196,174	148,002
Profit attributable:					
To owners of the parent		341,009	251,915	196,174	148,002
Earnings per share:					
– basic earnings from profit attributable to owners of the parent		3.48	2.57	2.00	1.51
– basic earnings from profit from continuing operations attributable to owners of the parent		3.48	2.57	2.00	1.51
– diluted earnings from profit attributable to owners of the parent		3.48	2.57	2.00	1.51
– diluted earnings from profit from continuing operations attributable to owners of the parent		3.48	2.57	2.00	1.51

INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>	<i>01.04.2021- 30.06.2021</i>	<i>01.04.2020- 30.06.2020</i>
Net profit for the reporting period	341,009	251,915	196,174	148,002
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>				
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-	-	-
Net other comprehensive income	-	-	-	-
Comprehensive income in the reporting period	341,009	251,915	196,174	148,002
Comprehensive income attributable:				
To owners of the parent	341,009	251,915	196,174	148,002
Non-controlling shareholders	-	-	-	-
	341,009	251,915	196,174	148,002

INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

as at 30 June 2021

	<i>Note</i>	30.06.2021	31.12.2020
		<i>(unaudited)</i>	
ASSETS			
Property, plant and equipment	12	4,345,648	3,749,480
Right-of-use assets	13	164,183	184,538
Intangible assets	14	97,902	99,050
Other non-financial assets		2	6
Deferred tax assets	11	21,232	20,738
Total non-current assets		4,628,967	4,053,812
Inventories	16	889,653	875,147
Trade and other receivables		54,267	86,822
Income tax receivables		88	2
Other non-financial assets		54,624	73,367
Other financial assets		1,053	942
Cash and cash equivalents	19.5	203,789	480,418
Total current assets		1,203,474	1,516,698
TOTAL ASSETS		5,832,441	5,570,510
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)		2,607,572	2,266,563
Share capital		9,804	9,804
Supplementary capital		2,699,610	2,063,322
Retained earnings		(109,342)	185,937
Other equity		7,500	7,500
Non-controlling interests		-	-
Total equity		2,607,572	2,266,563
Interest-bearing loans and borrowings	18	675,107	725,851
Lease liabilities	18	53,679	67,876
Liabilities by virtue of outstanding securities	18	249,937	419,936
Other liabilities		150	180
Provisions for employee benefits	17	2,844	2,844
Deferred tax liability	11	31,638	6,555
Accruals and deferred revenue		9	14
Total non-current liabilities		1,013,364	1,223,256
Trade and other payables		1,713,023	1,695,163
Current part of interest-bearing loans and borrowings	18	215,919	216,868
Lease liabilities	18	33,515	42,249
Liabilities by virtue of outstanding securities	18	170,907	930
Income tax liabilities		6,721	80,509
Accruals and deferred revenue		70,088	43,640
Provisions for employee benefits	17	1,332	1,332
Total current liabilities		2,211,505	2,080,691
Total liabilities		3,224,869	3,303,947
TOTAL EQUITY AND LIABILITIES		5,832,441	5,570,510

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS

for the 6-month period ended 30 June 2021

	<i>Note</i>	01.01.2021- 30.06.2021 <i>(unaudited)</i>	01.01.2020- 30.06.2020 <i>(unaudited)</i>
Cash flow from operating activities			
<i>Profit before tax</i>		418,066	309,714
<i>Adjustments for the line items:</i>		110,411	(172,235)
Depreciation and amortization		114,264	93,992
(Profit)/loss on investment activity		2,786	1,149
Movement in trade receivables and other receivables	19.5	71,103	34,489
Movement in inventories		(14,506)	(90,168)
Movement in liabilities, except for loans and borrowings	19.5	36,086	(153,359)
Interest revenue		(394)	(781)
Interest expense		21,074	27,846
Movement in prepayments, accruals and deferred revenue		6,342	(438)
Movement in provisions		-	-
Income tax paid		(126,344)	(84,965)
Other		-	-
Net cash from operating activities		528,477	137,479
Cash flow from investing activities			
Sale of property, plant and equipment and intangible assets		1,688	641
Purchase of property, plant and equipment and intangible assets		(710,867)	(436,906)
Interest received		394	781
Repayment of extended borrowings		677	-
Granting of loans		(787)	(140)
Net cash from investing activities		(708,895)	(435,624)
Cash flow from financing activities			
Payment of lease liabilities		(23,444)	(30,332)
Proceeds from obtained loans/borrowings		50,138	351,310
Repayment of loans/borrowings		(101,832)	(88,132)
Interest paid		(21,073)	(27,846)
Net cash from financing activities		(96,211)	205,000
Net increase in cash and cash equivalents		(276,629)	(93,145)
Cash at the beginning of the period		480,418	394,720
Cash at the end of the period	19.5	203,789	301,575

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2021 prepared in accordance with the International Financial Reporting Standards approved for application in the EU
(in thousands of PLN)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the 6-month period ended 30 June 2021

	<i>Attributable to owners of the parent</i>				
	<i>Share capital</i>	<i>Supplementary capital</i>	<i>Retained earnings</i>	<i>Other equity</i>	<i>Total</i>
As at 1 January 2021	9,804	2,063,322	185,937	7,500	2,266,563
Net profit for 2021	-	-	341,009	-	341,009
Net other comprehensive income for 2021	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	<i>341,009</i>	-	<i>341,009</i>
Distribution of the 2020 financial result	-	636,288	(636,288)	-	-
As at 30 June 2021*	9,804	2,699,610	(109,342)	7,500	2,607,572
As at 1 January 2020	9,804	1,652,132	(47,083)	7,500	1,622,353
Net profit for 2020	-	-	643,917	-	643,917
Other net comprehensive income for 2020	-	-	293	-	293
<i>Comprehensive income for the year</i>	-	-	<i>644,210</i>	-	<i>644,210</i>
Distribution of the 2019 financial result	-	411,190	(411,190)	-	-
As at 31 December 2020	9,804	2,063,322	185,937	7,500	2,266,563
As at 1 January 2020	9,804	1,652,132	(47,083)	7,500	1,622,353
Net profit for 2020	-	-	251,915	-	251,915
Other net comprehensive income for 2020	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	<i>251,915</i>	-	<i>251,915</i>
As at 30 June 2020*	9,804	1,652,132	204,832	7,500	1,874,268

* *unaudited data*

ADDITIONAL NOTES

1. General information

The Dino Polska S.A. Group ("Group") consists of Dino Polska S.A. ("parent company", "Company") and its subsidiaries. The Group's interim condensed consolidated financial statements span the 6-month period ended 30 June 2021 and contain comparative data for the 6-month period ended 30 June 2020 and as at 31 December 2020.

The interim condensed consolidated statement of profit or loss spans the 3-month period ended 30 June 2021 and contains comparative data for the 3-month period ended 30 June 2020 – they were not reviewed or audited by the statutory auditor.

The parent company is entered in the register of commercial undertakings of the National Court Register kept by the District Court for Poznań Nowe Miasto i Wilda, 9th Commercial Division of the National Court Register under file number KRS 0000408273. The parent company has been given the following statistical number: REGON 300820828.

The duration of the parent company and of the entities forming part of the Group is unlimited.

The Group's main line of business entails retail sales in non-specialized stores with a preponderance of food, beverages and tobacco products. Moreover, the Group also produces meat products, which are supplied to external customers through the Group's retail network.

The Group's interim condensed consolidated financial statements for the 6-month period ended 30 June 2021 were approved for publication by the Management Board on 19 August 2021.

The interim financial result may not fully reflect the financial result that may be generated in the financial year.

2. Changes to the Group's composition

No changes in the Dino Polska S.A. Group's composition transpired in the reporting period.

3. Basis for preparation of the interim condensed consolidated financial statements

These interim condensed consolidated financial statements have been prepared in accordance with International Financial Reporting Standard 34 "Interim Financial Reporting" approved by the European Union ("IAS 34").

These interim condensed consolidated financial statements do not contain all the information and disclosures required in annual financial statements and should be read jointly with the Group's consolidated financial statements for the year ended 31 December 2020 approved for publication on 11 March 2021.

These interim condensed consolidated financial statements are presented in Polish zloty ("PLN"), while all the figures are stated in thousands of PLN, unless stated otherwise.

These interim condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future.

As at 30 June 2021, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the value of new investments. Covenants related to loan agreements are monitored on an ongoing basis. As at the balance sheet date of 30 June 2021, there was no default on the terms and conditions of loan agreements and the Management Board of the parent company is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 30 June 2021. The Management Board of the parent company monitors the epidemiological situation and its impact on its business on an ongoing basis. The Company continues to maintain the rigorous sanitary regime rolled out in 2020 in all of its areas of activity and smoothly adapts it to the evolving sanitary requirements, preventive measures and restrictions imposed on store networks by the government. As a result, the Group is able to maintain business continuity and its operational efficiency in full in all of the areas of its activity. Despite the COVID-19 pandemic,

as at the date of these consolidated financial statements, all areas of the operating activity of the companies belonging to the Group are performing efficiently and there are no significant reasons for revising the performance targets or plans set by the Management Board for 2021, nor has the existence of any circumstances indicating a threat to the Group companies continuing their operations been ascertained.

4. Significant accounting principles (policies)

The accounting principles (policies) used to draw up the interim condensed consolidated financial statements are consistent with the ones that were used to draw up the Group's annual consolidated financial statements for the year ended 31 December 2020 except for the application of new or modified standards and interpretations in force for annual periods beginning on or after 1 January 2021.

Amended standards or interpretations that came into force for the first time in 2021 do not have a material impact on the Group's interim condensed consolidated financial statements.

1. Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16: Interest Rate Benchmark Reform - Phase 2

The proposed changes contain temporary deviances addressing the effects of replacing the interbank offer rate ("IBOR") with an alternative interest rate close to the risk free rate ("RFR") and the impact on financial reporting. The changes contain the following practical solutions:

- practical solution requiring that changes to a contract or changes to cash flows that are the direct consequence of reform be treated as a change to a floating interest rate, which is tantamount to a change in the market interest rate,
- permission to customize the hedge accounting documentation in terms of designating and documenting hedging relationships without terminating them if these changes are directly required by IBOR reform,
- awarding a temporary exemption from the requirement of satisfying the criterion for separate identification if the RFR instrument is designated as a hedge for a risk component.

The Group did not elect to apply any standard, interpretation or amendment earlier that has been published but has not yet taken force in light of the European Union regulations.

5. Change of estimates and corrections of errors

No change of estimates and no correction of errors were made in the 6-month period ended 30 June 2021 versus 31 December 2020.

6. Business seasonality

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

7. Revenue from contracts with customers

The Group's main line of business entails the retail sales of goods in a diverse product range (mainly food, beverages and tobacco products) and products (meat products). Sales of goods in own and leased shops directly to individual (retail) customers represented approximately 98% of the Group's revenues. If a contract contains only one performance obligation - the sale of merchandise or a product manufactured in the Group, the revenue will be recognized at a specific point in time, that is when a customer takes control of the merchandise or product - at the moment of sale and payment in the store by a retail customer.

8. Information concerning business segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network. Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska Group as a whole, only one operating segment has been isolated.

	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
Revenue on sales of products and services	706,714	593,054
Revenue on sales of goods and materials	5,304,318	4,092,742
Total	6,011,032	4,685,796

Revenue on sales of meat products produced within the Group is presented as revenue on sales of products, while revenue on retail sales of goods purchased for further resale is presented as revenue on sales of goods. The Group recognizes rental income in sales revenue. In H1 2021 this revenue was PLN 2,935 thousand (in 2020: PLN 3,042 thousand). The Group does not have customers whose sales would amount to more than 10% of the total value of sales. The Group generated all sales revenues in Poland.

9. Dividends distributed and proposed for distribution

During the reporting period, the parent company and the subsidiaries did not pay out a dividend.

10. Revenue and expenses

10.1 Costs by nature:

	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
Depreciation and amortization	114,264	93,992
Consumption of materials and energy	480,657	440,713
External services	187,991	149,633
Taxes and fees	113,553	27,025
Employee benefits	747,372	571,520
Other costs by nature	23,557	17,483
Cost of goods and materials sold	3,909,085	3,058,887
Total costs by nature, including:	5,576,479	4,359,253
Items captured in cost of sales	4,497,778	3,523,703
Items captured in sales and marketing expenses	1,022,285	782,202
Items captured in general administration expenses	50,964	45,546
Movement in products	5,452	7,802

The line item "Taxes and fees" recognizes the retail sales tax allocated to the line item cost of sales. This tax was introduced at the beginning of 2021 and as at 30 June 2021 it totaled PLN 76 million.

10.2 Other operating income

	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
Impairment losses for receivables	37	2
Grants	429	392
Damages	325	562
Income for making timely payments PIT-4	91	72
Revenue on the sales of PMEF certificates	18	76
Other (including debit/credit notes)	3,257	2,529
Total other operating income	4,157	3,633

10.3 Other operating expenses

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Impairment losses for receivables	45	269
Losses resulting from theft of merchandise	318	415
Loss on sale, liquidation of property, plant and equipment	2,786	1,149
Donations	2,170	276
Other (including VAT, for 90 days)	414	1,022
Total other operating expenses	5,733	3,131

10.4 Financial income

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Interest income from banks	1	400
Interest income on receivables	359	366
Interest income on loans	35	15
Foreign exchange gains	249	1,948
Total financial income	644	2,729

10.5 Financial expenses

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Interest on bank loans	7,221	12,090
Interest on trade payables	8,922	9,515
Interest on other payables	49	89
Interest on bonds	3,144	3,676
Interest on lease agreements	1,277	2,324
Commissions	393	168
Other	1	-
Total financial expenses	21,007	27,862

11. Income tax

The reconciliation of income tax on profit (loss) before tax at the statutory tax rate with income tax calculated at the Group's effective tax rate is as follows:

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Profit before tax from continuing operations	418,066	309,714
Profit before tax	418,066	309,714
Tax at the statutory tax rate in Poland at 19% (comparative period: 19%)	(79,433)	(58,846)
Investment allowance utilized for operating in a special economic zone	2,472	1,809
Income and expense items that are never taxable or deductible	(96)	(762)
Tax at the effective tax rate of 19% (comparative period: 18%)	(77,057)	(57,799)
Income tax (expense) recognized in consolidated profit or loss	(77,057)	(57,799)

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Deferred tax is calculated on the basis of the following items:

	<i>Consolidated statement of financial position</i>		<i>Consolidated statement of profit or loss for the year ended</i>	
	30.06.2021	31.12.2020	30.06.2021	30.06.2020
<i>Deferred tax liability</i>				
Temporary difference in the value of fixed assets	38,821	33,574	5,247	3,434
Accrued interest as at the balance sheet date	8,059	7,403	656	713
Provision for uninvoiced revenue under contracts with suppliers	42,692	16,869	25,823	13,337
Other	5	135	(130)	(20)
Presentation adjustment	(57,939)	(51,426)	(6,513)	(7,604)
Deferred tax liability	31,638	6,555		
<i>Deferred tax assets</i>				
Difference in measurement of inventories	27,189	26,029	1,160	1,560
Provisions for retirement severance benefits	734	734	-	1
Provision for unused holiday leave	10,883	7,641	3,242	1,910
Provision for other liabilities (e.g. energy, bonuses, audit of financial statements)	4,010	3,954	56	2,910
Mandate contracts paid in the subsequent year	616	649	(33)	25
Social security contributions	7,526	6,427	1,099	1,037
Accrued interest as at the balance sheet date	8,290	7,821	469	690
Other (including foreign exchange losses, VAT 90 days)	672	499	173	178
Losses deductible from future taxable income	240	240	-	(6)
Temporary difference in the value of fixed assets	6,287	5,446	841	316
Allowance on the amount of eligible capital expenditures for business in a Special Economic Zone	12,724	12,724	-	-
Presentation adjustment	(57,939)	(51,426)	(6,513)	(7,604)
Deferred tax assets	21,232	20,738		
Deferred tax expense			(24,589)	(8,843)

* The presentation adjustment associated with offsetting the deferred tax asset and liability at the level of distinct member companies of the group.

The deferred tax asset pertaining to the tax break for the amount of eligible capital expenditures on activity in the Special Economic Zone has been calculated on the basis of the analysis carried out by the parent company's Management Board prepared on the basis of tax forecasts drawn up for the purposes of preparing the consolidated financial statements as at 31 December 2020. In the Management Board's opinion, this analysis is up-to-date as of the date of preparing the interim condensed consolidated financial statements.

12. Property, plant and equipment

Purchase and sale

In the 6-month period ended 30 June 2021 the Group purchased property, plant and equipment worth PLN 691,313 thousand (in the 6-month period ended 30 June 2020: PLN 391,590 thousand).

In the 6-month period ended 30 June 2021 the Group liquidated and sold property, plant and equipment whose total net value was PLN 4,579 thousand (in the 6-month period ended 30 June 2020: PLN 1,475 thousand).

13. Right-of-use assets

In the 6-month period ended 30 June 2021 the Group purchased property, plant and equipment worth PLN 539 thousand (in the 6-month period ended 30 June 2020: PLN 7,963 thousand).

In the 6-month period ended 30 June 2021 the Group reclassified right-of-use assets to non-current assets worth PLN 5,414 thousand (in the 6-month period ended 30 June 2020: PLN 7,039 thousand).

14. Intangible assets

Purchase and sale

In the 6-month period ended 30 June 2021 the Group purchased intangible assets (licenses and software) worth PLN 1,672 thousand (in 2020: PLN 3,164 thousand).

15. Goodwill

There were no changes to goodwill in the period ended 30 June 2021 and 31 December 2020. As at 30 June 2021 goodwill was equal to PLN 64,989 thousand (PLN 64,989 thousand in 2020). The Group conducted an impairment value test as at 31 December 2020. The test demonstrated that there was no impairment in respect of goodwill or the trademarks. According to the Management Board, the prerequisites for impairment were not met and accordingly there were no reasons to perform a test as at 30 June 2021.

16. Inventories

	30.06.2021	31.12.2020
Materials	58,332	59,169
Finished goods	14,726	9,274
Products (at purchase price)	816,595	806,704
Total inventory	889,653	875,147

The Group allocates the relevant portion of the costs of delivering goods to points of sales to specify the purchase price of inventories in its commercial facilities. The Company conducts a periodic inventory of inventories. To restate them at the end of the period the inventory provision is estimated. As at 30 June 2021, the value of this provision was PLN 30,349 thousand (PLN 27,035 thousand as at 31 December 2020). As at 30 June 2021, the impairment loss on the net sales price was PLN 955 thousand (PLN 6,908 thousand as at 31 December 2020).

17. Provisions

	Retirement and disability benefits	Deferred tax liability	Total
Opening balance as at 1 January 2021	4,176	6,555	10,731
Increases	-	25,083	25,083
Utilization	-	-	-
Closing balance as at 30 June 2021	4,176	31,638	35,814
Short-term provisions	1,332	-	1,332
Long-term provisions	2,844	31,638	34,482

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	<i>Retirement and disability benefits</i>	<i>Deferred tax liability</i>	<i>Total</i>
Opening balance as at 1 January 2020	2,850	9,509	12,359
Increases	1,326	-	1,326
Utilization	-	(2,954)	(2,954)
Closing balance as at 31 December 2020	4,176	6,555	10,731
Short-term provisions	1,332	-	1,332
Long-term provisions	2,844	6,555	9,399

18. Interest-bearing bank loans and borrowings, debt securities and lease liabilities

	<i>30.06.2021</i>	<i>31.12.2020</i>
Current		
Lease liabilities	33,515	42,249
Investment loans	190,165	190,959
Loans to finance current activity	25,754	25,754
Borrowing	-	155
Issue of debt securities	170,907	930
	420,341	260,047
Non-current		
Lease liabilities	53,679	67,876
Investment loans	581,188	619,055
Loans to finance current activity	93,919	106,796
Issue of debt securities	249,937	419,936
	978,723	1,213,663

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No.	Type of liability	Date agreement signed	Outstanding liability as at 30 June 2021*	Interest rate	Date of repayment	Collateral type
			(thousands of PLN)			
1	Credit facility BANK 1	2012-01-26	-	WIBOR + margin	2021-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2	Credit facility BANK 1	2016-10-25	26,705	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
3	Credit facility BANK 1	2013-05-23	5,417	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
4	Credit facility BANK 1	2016-10-25	81,176	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
5	Credit facility BANK 1	2019-02-11	58,353	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
6	Credit facility BANK 1	2020-02-07	132,800	WIBOR + margin	2023-11-06	joint contractual mortgage, assignment of rights to an insurance policy
7	Credit facility BANK 1	2018-01-15	7,907	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
8	Credit facility BANK 1	2020-01-02	39,583	WIBOR + margin	2023-04-02	joint contractual mortgage, assignment of rights to an insurance policy
9	Credit facility BANK 1	2019-02-11	49,849	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
10	Credit facility BANK 1	2020-06-05	43,056	WIBOR + margin	2023-09-05	joint contractual mortgage, assignment of rights to an insurance policy
11	Credit facility BANK 2	2018-02-19	47,543	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
12	Credit facility BANK 2	2016-05-24	18,116	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
13	Credit facility BANK 3	2021-03-12	-	WIBOR + margin	2024-02-05	joint contractual mortgage, assignment of rights to an insurance policy
14	Credit facility BANK 3	2012-03-08	756	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
15	Credit facility BANK 3	2013-11-22	855	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
16	Credit facility BANK 3	2014-01-09	7,362	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
17	Credit facility BANK 3	2015-04-17	9,615	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
18	Credit facility BANK 3	2016-08-16	2,463	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
19	Credit facility BANK 3	2011-12-14	187	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
20	Credit facility BANK 3	2016-08-16	13,970	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
21	Credit facility BANK 4	2014-04-15	-	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
22	Credit facility BANK 4	2014-04-15	8,340	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
23	Credit facility BANK 4	2016-04-15	9,376	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
24	Credit facility BANK 4	2018-07-03	43,750	WIBOR + margin	2026-07-02	joint contractual mortgage, assignment of rights to an insurance policy
25	Credit facility BANK 4	2020-08-24	50,000	WIBOR + margin	2027-08-23	joint contractual mortgage, assignment of rights to an insurance policy
26	Credit facility BANK 4	2016-04-15	13,388	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
27	Credit facility BANK 5	2020-12-18	-	WIBOR + margin	2022-12-17	joint contractual mortgage, assignment of rights to an insurance policy
28	Credit facility BANK 5	2018-08-09	26,250	WIBOR + margin	2023-08-08	joint contractual mortgage, assignment of rights to an insurance policy
29	Credit facility BANK 5	2019-08-08	57,900	WIBOR + margin	2024-07-21	joint contractual mortgage, assignment of rights to an insurance policy
30	Credit facility BANK 5	2020-04-03	35,523	WIBOR + margin	2025-04-02	joint contractual mortgage, assignment of rights to an insurance policy
31	Credit facility BANK 5	2021-02-11	-	WIBOR + margin	2023-02-07	joint contractual mortgage, assignment of rights to an insurance policy
32	Credit facility BANK 6	2017-03-20	-	WIBOR + margin	2021-03-31	joint contractual mortgage, assignment of rights to an insurance policy
33	Credit facility BANK 6	2017-03-20	51,429	WIBOR + margin	2025-12-31	joint contractual mortgage, assignment of rights to an insurance policy
34	Credit facility BANK 6	2019-09-04	50,164	WIBOR + margin	2025-09-04	joint contractual mortgage, assignment of rights to an insurance policy
35	Credit facility BANK 6	2018-11-13	-	WIBOR + margin	2020-11-13	joint contractual mortgage, assignment of rights to an insurance policy
36	Credit facility BANK 7	2018-10-03	-	WIBOR + margin	2021-10-01	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL			891,833			

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(in thousands of PLN)

No.	Type of liability	Date agreement signed	Outstanding liability as at 31 December 2020* (thousands of PLN)	Interest rate	Date of repayment	Collateral type
1	Credit facility BANK 1	2012-01-26	-	WIBOR + margin	2021-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2	Credit facility BANK 1	2011-04-13	347	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
3	Credit facility BANK 1	2013-05-23	10,833	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
4	Credit facility BANK 1	2016-10-25	30,814	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
5	Credit facility BANK 1	2016-10-25	91,765	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
6	Credit facility BANK 1	2019-02-11	64,000	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
7	Credit facility BANK 1	2020-02-07	145,700	WIBOR + margin	2023-11-06	joint contractual mortgage, assignment of rights to an insurance policy
8	Credit facility BANK 1	2018-01-15	9,102	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
9	Credit facility BANK 1	2020-01-02	43,750	WIBOR + margin	2023-04-02	joint contractual mortgage, assignment of rights to an insurance policy
10	Credit facility BANK 1	2019-02-11	54,790	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
11	Credit facility BANK 1	2020-06-05	47,222	WIBOR + margin	2023-09-05	joint contractual mortgage, assignment of rights to an insurance policy
12	Credit facility BANK 2	2018-02-19	51,296	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
13	Credit facility BANK 2	2016-05-24	19,513	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
14	Credit facility BANK 3	2013-11-22	1,038	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
15	Credit facility BANK 3	2012-03-08	1,513	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
16	Credit facility BANK 3	2014-01-09	8,955	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
17	Credit facility BANK 3	2015-04-17	10,897	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
18	Credit facility BANK 3	2016-08-16	2,721	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
19	Credit facility BANK 3	2016-11-04	-	WIBOR + margin	2022-10-06	joint contractual mortgage, assignment of rights to an insurance policy
20	Credit facility BANK 3	2011-12-14	747	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
21	Credit facility BANK 3	2016-08-16	15,770	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
22	Credit facility BANK 4	2020-04-03	38,050	WIBOR + margin	2025-04-02	joint contractual mortgage, assignment of rights to an insurance policy
23	Credit facility BANK 4	2018-08-09	30,000	WIBOR + margin	2023-08-08	joint contractual mortgage, assignment of rights to an insurance policy
24	Credit facility BANK 4	2019-08-08	64,500	WIBOR + margin	2024-07-21	joint contractual mortgage, assignment of rights to an insurance policy
25	Credit facility BANK 4	2018-08-09	-	WIBOR + margin	2021-08-08	joint contractual mortgage, assignment of rights to an insurance policy
26	Credit facility BANK 5	2014-04-15	-	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
27	Credit facility BANK 5	2014-04-15	12,506	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
28	Credit facility BANK 5	2018-07-03	47,917	WIBOR + margin	2026-07-02	joint contractual mortgage, assignment of rights to an insurance policy
29	Credit facility BANK 5	2016-04-15	10,938	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
30	Credit facility BANK 5	2020-08-24	-	WIBOR + margin	2027-08-23	joint contractual mortgage, assignment of rights to an insurance policy
31	Credit facility BANK 5	2016-04-15	15,616	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
32	Credit facility BANK 6	2017-03-20	-	WIBOR + margin	2021-03-31	joint contractual mortgage, assignment of rights to an insurance policy
33	Credit facility BANK 6	2017-03-20	57,143	WIBOR + margin	2025-12-31	joint contractual mortgage, assignment of rights to an insurance policy
34	Credit facility BANK 6	2019-09-04	56,066	WIBOR + margin	2025-09-04	joint contractual mortgage, assignment of rights to an insurance policy
35	Credit facility BANK 6	2018-11-13	-	WIBOR + margin	2020-11-13	statement of submitting to enforcement under art. 777
36	Credit facility BANK 7	2018-10-03	-	WIBOR + margin	2021-10-01	joint contractual mortgage, assignment of rights to an insurance policy
37	Borrowing	2016-02-24	155	WIBOR + margin	2021-02-28	bill of exchange
TOTAL			943,664			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

19. Other significant changes

19.1 Non-recurring amounts and events

No non-recurring events transpired in the Dino Group's business in the period from 1 January 2021 to 30 June 2021.

19.2 Investment securities

The Group did not issue, redeem or pay down any non-equity or investment securities in the period from 1 January 2021 to 30 June 2021 and in the period from 1 January 2020 to 30 June 2020.

19.3 Contingent liabilities

19.1.1 Litigation

In the period from 1 January 2021 to 30 June 2021 the Group companies were not party to any material case under a statement of claim launched by or against the companies, which in the opinion of the Management Board of the parent company should be disclosed.

19.4 Obligations to incur capital expenditures

In the presented reporting period, liabilities on account of purchases of property, plant and equipment included purchases related to the further expansion of the Dino Group store network and expansion of warehouse space. As at 30 June 2021 the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 713,298 thousand (as at 30 June 2020: PLN 679,594 thousand).

19.5 Cash and cash equivalents

For the purposes of the interim condensed statement of cash flows, cash and cash equivalents consist of the following line items:

	30.06.2021	31.12.2020	30.06.2020
Cash at bank and in hand	144,536	205,141	192,460
Cash en route	41,238	14,572	10,203
Short-term deposits	18,015	260,705	98,912
Total	203,789	480,418	301,575

The following tables depict the reasons for the differences between the balance sheet movements in the interim condensed consolidated statement of financial position and the movements following from the interim condensed consolidated statement of cash flows:

	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
Movement in receivables resulting from the consolidated statement of financial position	32,555	33,553
Movement in receivables on the sale of fixed assets	(301)	(405)
Movement in state budget receivables	38,849	1,341
Movement in receivables in the consolidated statement of cash flows	71,103	34,489

	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
Movement in liabilities resulting from the consolidated statement of financial position	(130,604)	8,352
Movement in loans	51,693	(263,179)
Movement in lease liabilities	22,931	21,114
Movement in investment settlements	18,278	44,222
Movement in income tax liabilities	73,788	36,132
Movement in liabilities in the consolidated statement of cash flows	36,086	(153,359)

19.6 Other selected disclosures

No material events requiring disclosure transpired in the reporting period.

20. Business combinations and purchases of non-controlling interests

No business combination took place in the period for which the interim condensed consolidated financial statements have been prepared, nor were any interests purchased or sold.

21. Objectives and principles of managing financial risk

The main financial instruments used by the Group include bank loans, borrowings, bonds, leases, cash and current deposits. The main objective of these instruments is to raise funding for Group's activities. The Group also holds various other financial instruments, such as trade receivables and payables, which arise directly from its activities. The rule followed by the Group currently and throughout the whole period covered by the consolidated financial statements is to refrain from dealing in financial instruments.

The main types of risk arising from the Group's financial instruments include interest rate risk, liquidity risk, FX risk and credit risk. The parent company's Management Board verifies and agrees the principles of managing each one of these types of risk.

No material changes were made to the rules of financial risk management in the 6-month period ended 30 June 2021 compared to the 2020 consolidated financial statements.

The parent company's Management Board incorporates the Group's positive results (including EBITDA) in its analysis of the risks ensuing from financial instruments. The Dino Group's EBITDA was PLN 552,693 thousand in H1 2021, PLN 428,839 thousand in H1 2020 and PLN 1,036,005 thousand in the period from 1 January 2020 to 31 December 2020. During the last 12 months, i.e. from 1 July 2020 to 30 June 2021 the Dino Group generated EBITDA of PLN 1,159,859 thousand. The Dino Group defines EBITDA as earnings before interest, taxes, depreciation and amortization. This ratio is not a measure governed by IFRS.

22. Financial instruments

In the Group's opinion, the fair value of cash, short-term deposits, trade receivables, trade payables, bank loans, other loans, outstanding bonds and lease liabilities does not materially deviate from their carrying amounts. In the 6-month period ended 30 June 2021, no changes were made to the fair value measurement methodology pertaining to financial instruments and no changes were made to the classification of financial assets resulting from a change of purpose or use of such assets.

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2021 prepared in accordance with the International Financial Reporting Standards approved for application in the EU Additional notes
(in thousands of PLN)

Carrying amounts of individual classes of financial instruments

	<i>Carrying amount</i>	
	<i>30.06.2021</i>	<i>31.12.2020</i>
Cash and cash equivalents	203,789	480,418
Trade and other receivables	54,267	86,822
Debt instruments measured at amortized cost	258,056	567,240
	<i>Carrying amount</i>	
	<i>30.06.2021</i>	<i>31.12.2020</i>
Interest-bearing loans and borrowings	675,107	725,851
Issue of debt securities	249,937	419,936
Lease liabilities	53,679	67,876
Non-current financial liabilities measured at amortized cost	978,723	1,213,663
Interest-bearing loans and borrowings	215,919	216,868
Issue of debt securities	170,907	930
Lease liabilities	33,515	42,249
Trade payables	817,881	742,782
Trade payables in factoring, including supplier finance programs	513,602	601,969
Current financial liabilities measured at amortized cost	1,751,824	1,604,798

23. Discontinued activity

In the period covered by these interim condensed consolidated financial statements the Group has not discontinued any operations and it does not plan any discontinuation in the future.

24. Related party transactions

The table below presents the total amounts of the transactions executed with related parties during the six-month period ended 30 June 2021 and 2020 (for sales and purchases) and as at 30 June 2021 and 31 December 2020 (for receivables and liabilities):

<i>Related party</i>	<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>
Key managers (Management Board members) of the Group				
2021	-	-	-	-
2020	-	-	-	-
Supervisory Board				
2021	-	-	-	-
2020	-	-	-	-
<i>Related party</i>	<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>
<i>Parties related through the majority owner</i>				

DINO POLSKA S.A. GROUP

Interim condensed consolidated financial statements for the 6-month period ended 30 June 2021 prepared in accordance with the International Financial Reporting Standards approved for application in the EU Additional notes
(in thousands of PLN)

Zakłady Mięsne "Biernacki" Tomasz Biernacki	2021	23	194	10	13
	2020	3	159	3	14
BT Development BT Kapitał sp. z o.o. sp.k.	2021	5	2,683	1	38
	2020	40	2,147	1	40
BT Nieruchomości sp. z o.o.	2021	-	244	-	10
	2020	-	138	-	8
BT Kapitał sp. z o.o.	2021	109	1	41	-
	2020	72	-	42	-
Krot Invest KR Inżynieria sp. z o.o. SKA	2021	610	290,421	304	114,240
	2020	480	174,368	351	119,724
Krot Invest 2 KR Inżynieria sp. z o.o. sp.k.	2021	1	15,484	-	1,823
	2020	2	9,726	-	2,142
ZR 1 sp. z o.o.	2021	1	1,055	-	-
	2020	1	838	18	58
ZR 2 sp. z o.o.	2021	837	1,532	2	46
	2020	40	1,032	46	79
ZR 3 sp. z o.o.	2021	2	1,449	-	18
	2020	38	1,067	-	-
ZR 4 sp. z o.o.	2021	1	1,302	-	-
	2020	8	1,139	-	-
Zielony Rynek 5 BT Kapitał sp. z o.o. sp.k.	2021	-	3	-	-
	2020	-	2	-	-
Zielony Rynek 6 BT Kapitał sp. z o.o. sp.k.	2021	-	222	-	-
	2020	-	195	-	7
Mleczarnia Naramowice sp. z o.o.	2021	1	52	-	8
	2020	-	-	-	-
<i>Parties related through key personnel</i>					
Agrofirma Spółdzielcza	2021	4	117	-	5
	2020	5	97	-	-
TBE sp. z o.o.	2021	2	932	-	100
	2020	2	452	-	104

Related party transactions were routine in nature and concluded on the arm's length basis, at prices no different from the prices used in transactions between unrelated parties.

25. Events after the reporting period

No material events transpired up to the date of preparation of these interim condensed consolidated financial statements that would require recognition or description hereunder.

DINO POLSKA S.A.

**INTERIM CONDENSED FINANCIAL STATEMENTS
FOR THE 6-MONTH PERIOD ENDED 30 JUNE 2021
WITH THE INDEPENDENT AUDITOR'S REPORT ON ITS REVIEW**

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FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Sales revenue	6,010,485	4,678,866	1,321,799	1,053,490
Operating profit	328,171	257,360	72,170	57,947
Profit before tax	307,232	233,804	67,565	52,643
Net profit	248,363	189,141	54,619	42,587
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	2.53	1.93	0.56	0.43
Cash flow from operating activities	469,003	78,981	103,141	17,783
Cash flow from investing activities	(665,394)	(346,728)	(146,330)	(78,069)
Cash flow from financing activities	(57,054)	169,781	(12,547)	38,228
Net change in cash and cash equivalents	(253,445)	(97,966)	(55,736)	(22,058)

* In the case of data in EUR, the average EUR/PLN for the final day of each month belonging to the reporting period, as published by the National Bank of Poland was used:

- NBP's average exchange rate for H1 2021: PLN 4.5472/EUR;
- NBP's average exchange rate for H1 2020: PLN 4.4413/EUR;

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>30.06.2021</i>	<i>31.12.2020</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Total assets	5,276,359	4,987,834	1,167,129	1,080,834
Total non-current assets	3,965,511	3,424,928	877,170	742,162
Total current assets	1,310,848	1,562,906	289,959	338,673
Equity	1,964,570	1,716,207	434,562	371,892
Share capital	9,804	9,804	2,169	2,124
Non-current liabilities	804,236	1,013,795	177,897	219,683
Current liabilities	2,369,270	2,166,999	524,082	469,576

* In the case of data in EUR, the average EUR/PLN exchange rates in the period were used, as published by the National Bank of Poland:

- NBP's average exchange rate as at 30 June 2021: 4.5208 PLN/EUR;
- NBP's average exchange rate as at 31 December 2020: 4.6148 PLN/EUR.

INTERIM CONDENSED STATEMENT OF PROFIT OR LOSS

for the 6-month period ended 30 June 2021

(in thousands of PLN)

	Note	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
		(unaudited)	(unaudited)
A. Net revenues on sales and equivalents		6,010,485	4,678,866
I. Net revenue on sales of products		17,398	8,964
IV. Net revenue on sales of goods and materials		5,993,087	4,669,902
B. Operating expenses		5,680,798	4,421,627
I. Depreciation and amortization		84,676	68,232
II. Consumption of materials and energy		84,978	68,176
III. External services		278,009	222,066
IV. Taxes and fees		106,557	21,041
V. Employee benefits		554,826	419,643
VI. Social security and other benefits		129,258	94,702
VII. Other costs by nature		23,168	17,350
VIII. Cost of goods and materials sold		4,419,326	3,510,417
C. Sales profit (loss) (A – B)		329,687	257,239
D. Other operating income	8.1	3,494	3,152
I. Profit on disposal of non-financial non-current assets		-	-
II. Grants		34	101
III. Revaluation of non-financial assets		-	-
IV. Other operating income		3,460	3,051
E. Other operating expenses	8.2	5,010	3,031
I. Loss on disposal of non-financial non-current assets		2,302	1,123
II. Revaluation of non-financial assets		-	-
III. Other operating expenses		2,708	1,908
F. Operating profit (loss) (C+D-E)		328,171	257,360
G. Financial income	8.3	4,162	5,212
I. Dividends i profit sharing		-	-
a) from related entities, of which:		-	-
- in which the entity has capital exposure		-	-
II. Interest, including:		3,115	3,182
- from related entities		3,115	2,830
III. Profit on disposal of financial assets		-	-
IV. Revaluation of financial assets		-	-
V. Other		1,047	2,030
H. Financial expenses	8.4	25,101	28,768
I. Interest, including:		20,337	25,626
- to related entities		684	549
II. Loss on disposal of financial assets		-	-
III. Revaluation of financial assets		-	-
IV. Other		4,764	3,142
I. Profit / (loss) before tax (F + G - H)		307,232	233,804
J. Income tax	9	58,869	44,663
K. Other mandatory decreases of profit (increases of loss)		-	-
L. Net profit (loss) (I – J – K)		248,363	189,141

INTERIM CONDENSED BALANCE SHEET

as at 30 June 2021

(in thousands of PLN)

	<i>Note</i>	30.06.2021	31.12.2020
Assets		<i>(unaudited)</i>	
A. Non-current assets		3,965,511	3,424,928
I. Intangible assets	11	22,991	24,630
1. Costs of completed development work		-	-
2. Goodwill		-	-
3. Other intangible assets		22,991	24,630
II. Property, plant and equipment	10	3,135,061	2,597,950
1. Fixed assets		2,869,253	2,426,989
a) land (including the right of usufruct to land)		598,626	494,972
b) buildings, premises, rights to premises and civil and marine engineering facilities		1,584,239	1,355,728
c) technical equipment and machinery		400,951	324,693
d) means of transport		85,964	77,373
e) other fixed assets		199,473	174,223
2. Fixed assets under construction		265,808	170,961
III. Non-current receivables		-	-
IV. Non-current investments		755,831	755,831
1. Real estate		-	-
2. Intangible assets		-	-
3. Long-term financial assets	12	755,831	755,831
a) in related entities		755,831	755,831
- ownership interests or shares		755,831	755,831
V. Non-current deferred revenue		51,628	46,517
1. Deferred tax assets	9	51,628	46,517
B. Current assets		1,310,848	1,562,906
I. Inventories	13	851,785	847,617
1. Materials		29,746	34,968
2. Semi-finished goods and work in progress		-	-
3. Finished products		-	-
4. Merchandise		822,039	812,649
5. Advances received for supplies and services		-	-
II. Current receivables		80,108	142,519
1. Receivables from related entities	22	3,654	1,135
a) for goods and services with a term of payment:		3,644	1,109
- up to 12 months		3,644	1,109
b) other		10	26
2. Receivables from entities to which the company has equity exposure		-	-
3. Receivables from other entities		76,454	141,384
a) for goods and services with a term of payment:		24,213	47,531
- up to 12 months		24,213	47,531
b) on taxes, grants, customs duties, social security and health insurance and other public dues		26,986	56,737
c) other		25,255	37,116
d) subject to collection through litigation		-	-
III. Current investments		361,684	569,586
1. Current financial assets		361,684	569,586
a) in related entities	22	191,484	145,941
- loans granted		190,245	145,040
- other current financial assets		1,239	901
b) in other entities		-	-
c) cash and other cash assets	18.6	170,200	423,645
- cash on hand and on accounts		122,342	180,613
- other cash		47,858	243,032
IV. Current deferred revenue		17,271	3,184
C. Contributions due to share capital		-	-

The notes to the interim condensed financial statements constitute an integral part hereof

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2021
(in thousands of PLN)

D. Treasury stock		-	-
Total assets		5,276,359	4,987,834

<i>(in thousands of PLN)</i>	<i>Note</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Equity and liabilities		<i>(unaudited)</i>	
A. Equity		1,964,570	1,716,207
I. Share capital	15	9,804	9,804
II. Supplementary capital		1,676,055	1,208,019
III. Revaluation reserve (fund)		-	-
IV. Other reserve capital (fund)		-	-
V. Profit (loss) brought forward		-	-
VI. Net profit (loss)		248,363	468,036
VII. Other items of equity		30,348	30,348
VIII. Charges to net profit during the financial year (negative figure)		-	-
B. Liabilities and provisions for liabilities		3,311,789	3,271,627
I. Provisions for liabilities	16	82,286	51,673
1. Provision for deferred tax liability	9	78,529	47,916
2. Provision for pension and similar benefits	16	3,757	3,757
- non-current		2,514	2,514
- current		1,243	1,243
3. Other provisions		-	-
II. Non-current liabilities		804,236	1,013,795
1. To related entities		-	-
2. To other entities in which the company has equity exposure		-	-
3. To other entities		804,236	1,013,795
a) bank loans and borrowings	17	539,699	572,048
b) for issue of debt securities	17	249,938	419,936
c) other financial liabilities	17	14,599	21,811
d) liabilities for bills of exchange		-	-
e) other		-	-
III. Current liabilities		2,369,270	2,166,999
1. Liabilities to related entities	22	583,047	472,996
a) for goods and services with a term of being due and payable:		405,130	305,457
- up to 12 months		405,130	305,457
- above 12 months		-	-
b) other		177,917	167,539
2. Liabilities to other entities in which the company has equity exposure		-	-
3. Liabilities to other entities		1,786,223	1,694,003
a) bank loans and borrowings	17	165,271	164,161
b) for issue of debt securities	17	170,907	930
c) other financial liabilities	17	20,789	28,986
d) for goods and services with a term of being due and payable:		1,189,124	1,240,810
- up to 12 months		1,189,124	1,240,810
- above 12 months		-	-
e) advances received for supplies and services		-	-
f) liabilities for bills of exchange		-	-
g) on taxes, customs duties, social security and health insurance or other public dues		110,141	140,168
h) payroll		89,583	78,272
i) other		40,408	40,676
4. Special-purpose funds		-	-
IV. Accruals and deferred revenue		55,997	39,160
1. Negative goodwill		-	-
2. Other deferred revenue		55,997	39,160
- non-current		-	-
- current		55,997	39,160
Total liabilities and equity		5,276,359	4,987,834

The notes to the interim condensed financial statements constitute an integral part hereof

INTERIM CONDENSED STATEMENT OF CASH FLOWS

for the 6-month period ended 30 June 2021

(in thousands of PLN)

	Note	01.01.2021- 30.06.2021	01.01.2020- 30.06.2020
		(unaudited)	(unaudited)
A. Cash flow from operating activities			
I. Net profit (loss)		248,363	189,141
II. Total adjustments		220,640	(110,160)
1. Depreciation and amortization		84,676	68,232
2. Gains (losses) arising from changes in foreign currency exchange rates		-	-
3. Interest and profit sharing (dividends)	18.6	19,057	22,014
4. Profit (loss) on investing activity		2,302	1,123
5. Movement in provisions		30,613	16,140
6. Movement in inventories		(4,168)	(79,698)
7. Movement in receivables	18.6	62,088	29,392
8. Movement in current liabilities, except for loans and borrowings	18.6	28,433	(159,682)
9. Movement in prepayments, accruals and deferred revenue		(2,361)	(7,681)
III. Net cash flow from operating activities (I±II)		469,003	78,981
B. Cash flow from investing activities			
I. Inflows		37,234	42,818
1. Sale of intangible assets and property, plant and equipment		1,508	129
2. Sale of investments in real property and intangible assets		-	-
3. From financial assets, of which:		35,726	42,689
a) in related entities		35,725	42,337
b) in other entities		1	352
- interest		1	352
II. Outflows		(702,628)	(389,546)
1. Purchase of intangible assets and property, plant and equipment		(624,813)	(377,446)
2. Investments in real property and intangible assets		-	-
3. Towards financial assets, of which:		(77,815)	(12,100)
a) in related entities		(77,815)	(12,100)
III. Net cash flow from investing activities (I-II)		(665,394)	(346,728)
C. Cash flow from financing activities			
I. Inflows		64,138	301,310
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions		-	-
2. Loans and borrowings		64,138	301,310
3. Issue of debt securities		-	-
4. Other financial proceeds		-	-
II. Outflows		(121,192)	(131,529)
1. Purchase of treasury shares		-	-
2. Dividends and other distributions to owners		-	-
3. Profit-sharing expenditures other than distributions to owners		-	-
4. Repayment of loans and borrowings		(81,376)	(82,327)
5. Redemption of debt securities		-	-
6. On account of other financial liabilities		-	-
7. Payment of finance lease liabilities		(15,384)	(22,883)
8. Interest		(20,003)	(23,297)
9. Other financial expenditures		(4,429)	(3,022)
III. Net cash from financing activities (I-II)		(57,054)	169,781
D. Total net cash flow (A.III±B.III±C.III)		(253,445)	(97,966)
E. Balance sheet movement in cash, including		(253,445)	(97,966)
- movement in cash arising from changes in foreign currency exchange rates		-	-
F. Cash at the beginning of the period		423,645	377,737
G. Cash at the end of the period (F±D), including	18.6	170,200	279,771
- restricted cash		15	490

INTERIM CONDENSED STATEMENT OF CHANGES IN EQUITY

for the 6-month period ended 30 June 2021

(in thousands of PLN)

	01.01.2021- 30.06.2021	01.01.2020- 31.12.2020	01.01.2020- 30.06.2020
	(unaudited)		(unaudited)
I. Equity at the beginning of the period (OB)	1,716,207	1,248,171	1,248,171
I.a. Equity at the beginning of the period (OB), adjusted	1,716,207	1,248,171	1,248,171
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	1,208,019	889,818	889,818
2.1. Changes to supplementary capital	468,036	318,201	-
(i) increase	468,036	318,201	-
- profit distribution	468,036	318,201	-
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	1,676,055	1,208,019	889,818
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	468,036	318,201	318,201
5.1. Profit brought forward at the beginning of the period	468,036	318,201	318,201
5.2. Profit brought forward at the beginning of the period, adjusted	468,036	318,201	318,201
(i) increase	-	-	-
b) decrease	(468,036)	(318,201)	-
- distribution of profits brought forward	(468,036)	(318,201)	-
5.3. Profit brought forward at the end of the period	-	-	318,201
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	-	-	318,201
6. Net result	248,363	468,036	189,141
a) net profit	248,363	468,036	189,141
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	30,348	30,348
7. Other items of equity at the end of the period	30,348	30,348	30,348
8. Charges to net profit during the financial year (negative figure)	-	-	-
II. Equity at the end of the period (CB)	1,964,570	1,716,207	1,437,312
III. Equity after considering the proposed distribution of profits (coverage of losses)	1,964,570	1,716,207	1,437,312

ADDITIONAL NOTES

1. General information

Dino Polska S.A. ("Company") is a joint stock company with its registered office in Krotoszyn whose shares are publicly traded. The Company's interim condensed financial statements span the 6-month period ended 30 June 2021 and contain comparative data for the 6-month period ended 30 June 2020 and as at 31 December 2020.

The Company is entered in the register of commercial undertakings of the National Court Register kept by the District Court, 9th Commercial Division of the National Court Register under file number KRS 0000408273. The Company has been given the following statistical number: REGON 300820828.

The Company's duration is unlimited.

According to the Company's articles of association, the Company's core business is:

1. 47.11.Z Retail sale in non-specialized stores with food, beverages or tobacco products predominating,
2. 46.39.Z Non-specialized wholesale of food, beverages and tobacco products.

The Company's interim condensed financial statements for the 6-month period ended 30 June 2021 have been approved for publication by the Management Board.

The interim financial result may not fully reflect the financial result that may be generated in the financial year.

2. Basis for preparation of the interim condensed financial statements

These interim condensed financial statements were drawn up pursuant to the provisions of the Accounting Act of 29 September 1994 (hereinafter "Accounting Act") and according to the requirements set forth in the Finance Minister's Regulation of 29 March 2018 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2018, Item 757).

These interim condensed financial statements do not contain all the information and disclosures required in annual financial statements and should be read jointly with the Company's financial statements for the year ended 31 December 2020 and approved for publication on 11 March 2021.

These interim condensed financial statements are presented in Polish zloty ("PLN"), while all the figures are stated in thousands of PLN, unless stated otherwise.

These interim condensed financial statements were drawn up under the assumption that the Company remains a going concern for at least 12 months after the balance sheet date, i.e. after 30 June 2021. As at 30 June 2021, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Company intensively develops its network using free cash and funding from bank loans to increase the value of new investments. Covenants related to loan agreements are monitored on an ongoing basis. As at the balance sheet date of 30 June 2021, there was no default on the terms and conditions of loan agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 30 June 2021. The Company's Management Board monitors the epidemiological situation and its impact on its business on an ongoing basis. The Company continues to maintain the rigorous sanitary regime rolled out in 2020 in all of its areas of activity and smoothly adapts it to the evolving sanitary requirements, preventive measures and restrictions imposed on store networks by the government. As a result, the Company is able to maintain business continuity and its operational efficiency in full in all of the areas of its activity. Despite the COVID-19 pandemic, as at the date of these financial statements, all areas of the Company's operating activity are performing efficiently and there are no significant reasons for revising the performance targets or plans set by the Management Board for 2021, nor has the existence of any circumstances indicating a threat to the Company continuing its operations been ascertained.

3. Significant accounting principles (policies)

The accounting principles (policies) used to draw up the interim condensed financial statements are consistent with the ones that were used to draw up the Company's annual financial statements for the year that began on 1 January 2020.

4. The differences in the values of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group's parent company, which has an obligation to prepare consolidated financial statements according to the IFRS endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company's date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, nor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain, in particular, to the following areas:

1. determination of the residual value of fixed assets,
2. separation of components and determination of depreciation charges for the actual periods of use,
3. retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
4. recognition of a right-of-use asset and a lease liability under IFRS16.

The presentation of some line items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

Adjustment as at 30 June 2021	Carrying amount according to PAS	Carrying amount according to IFRS	Value adjustment
Property, plant and equipment	3,135,061	3,030,714	(104,347)
Right-of-use assets	-	397,899	397,899
Intangible assets	22,991	32,156	9,165
Deferred tax assets	51,628	-	(51,628)
Total non-current assets	3,965,511	4,216,600	251,089
Total assets	5,276,359	5,527,448	251,089
Equity	1,964,570	1,962,003	(2,567)
Lease liabilities	14,599	234,721	220,122
Deferred tax liability	78,529	25,671	(52,858)
Total non-current liabilities	885,279	1,052,543	167,264
Trade and other payables	2,012,303	2,009,469	(2,834)
Lease liabilities	20,789	107,181	86,392
Income tax liabilities	-	2,834	2,834
Total current liabilities	2,426,510	2,512,902	86,392
Total liabilities and equity	5,276,359	5,527,448	251,089
		30.06.2021	
Equity according to PAS		1,964,570	
Adjusted depreciation and amortization on account of residual value			1,594
Adjusted depreciation and amortization on account of the separation of components			(2,688)
Adjustment - amortization of trademarks			7,424

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2021
Additional notes
(in thousands of PLN)

Adjustment - lease of fixed assets (IFRS 16)	(8,897)
Equity according to IFRS	1,962,003
Net profit according to PAS	248,363
Adjusted depreciation and amortization on account of residual value	40
Adjusted depreciation and amortization on account of the separation of components	(885)
Adjustment - amortization of trademarks	391
Adjustment - lease of fixed assets (IFRS 16)	(733)
Net profit according to IFRS	247,176
Other comprehensive income	-

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 30 June 2021 and under the assumption that the date for transition to IFRS is 1 January 2013. Since work is still in progress on more standards and amending the current standards it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

5. Change of estimates and corrections of errors

No change of estimates and no correction of errors were made in the 6-month period ended 30 June 2021 versus 31 December 2020.

6. Business seasonality

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Company posts increased sales revenues in periods close to holidays and in the summer. Moreover, the Company's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

7. Dividends distributed and proposed for distribution

During the reporting period, the Company did not pay out a dividend.

8. Revenues and costs

8.1. Other operating income

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Grants	34	101
Other operating income, including:	3,460	3,051
- received payments for damages	325	537
- income for making timely payments (0.3%)	89	67
- revenues on the sales of PMEF certificates	18	76
- reversal of impairments for receivables	37	-
- other (including debit notes)	2,991	2,371
Total other operating income	3,494	3,152

8.2. Other operating expenses

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Loss on disposal of non-financial non-current assets, including:	2,302	1,123
- loss on the disposal of fixed assets and intangible assets	2,302	1,123
Other operating expenses, including:	2,708	1,908
- losses resulting from inventory shortages	318	415
- donations	2,170	276
- other	175	948
- written off receivables	45	269
Total other operating expenses	5,010	3,031

8.3. Financial income

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Interest, including:	3,115	3,182
- interest from related companies	3,115	2,830
- bank interest	-	352
Other, including:	1,047	2,030
- foreign exchange gains and losses	374	1,982
- other financial income (sureties)	673	48
Total financial income	4,162	5,212

8.4. Financial expenses

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Interest, including:	20,337	25,626
- interest paid to related companies	684	549
- interest on trade payables	10,375	10,420
- interest paid to business partners	34	50
- bank interest	5,741	9,762
- interest on bonds	3,144	3,676
- interest on lease agreements	359	1,169
Other, including:	4,764	3,142
- other financial expenses (commissions, sureties)	4,764	3,142
Total financial expenses	25,101	28,768

9. Income tax

The reconciliation of income tax on profit (loss) before tax at the statutory tax rate with income tax calculated at the Company's effective tax rate is as follows:

	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Profit before tax	307,232	233,804
Tax at the statutory tax rate in Poland at 19% (comparative period: 19%)	58,374	44,423
Income and expense items that are never taxable and other adjustments	495	240
Tax at the effective tax rate	58,869	44,663
Income tax (expense) recognized in profit or loss	58,869	44,663

Deferred tax is calculated on the basis of the following items:

	<i>Balance sheet</i>		<i>Profit and loss account</i>	
	<i>30.06.2021</i>	<i>31.12.2020</i>	<i>30.06.2021</i>	<i>30.06.2020</i>
Temporary difference in the value of fixed assets	33,496	29,039	4,457	2,481
Accrued interest as at the balance sheet date	2,341	2,003	338	331
Provision for uninvoiced revenue under contracts with suppliers	42,692	16,869	25,823	13,337
Foreign exchange gains	-	5	(5)	(8)
Deferred tax liability	78,529	47,916		
Provisions for retirement severance benefits	714	714	-	-
Provision for unused holiday leave	10,562	7,414	3,148	1,824
Provision for employee benefits / bonuses	3,980	1,607	2,373	1,050
Mandate contracts paid in the subsequent year	98	130	(32)	19
Social security contributions	6,998	5,994	1,004	907
Difference in measurement of inventories	26,815	25,649	1,166	1,453
Provision for interest to be paid	2,461	2,622	(161)	56
Provision for other costs	-	2,387	(2,387)	981
Deferred tax assets	51,628	46,517		
Deferred tax expense			25,502	9,851

10. Property, plant and equipment

Purchase and sale

In the 6-month period ended 30 June 2021 the Company purchased property, plant and equipment worth PLN 622,572 thousand (in the 6-month period ended 30 June 2020: PLN 350,011 thousand).

In the 6-month period ended 30 June 2021 the Company liquidated and sold property, plant and equipment whose total net value was PLN 3,810 thousand (in the 6-month period ended 30 June 2020: PLN 1,252 thousand).

11. Intangible assets

Purchase and sale

In the 6-month period ended 30 June 2021 the Company purchased intangible assets worth PLN 1,387 thousand (PLN 2,845 thousand in 2020).

12. Investments in subsidiaries, associates and co-subsidiaries

No changes transpired in investments in subsidiaries, associates and co-subsidiaries in the period from 1 January 2021 to 30 June 2021 and in the comparable period.

13. Inventories

	<i>30.06.2021</i>	<i>31.12.2020</i>
Materials	29,746	34,968
Products (at purchase price)	822,039	812,649
Total inventory	851,785	847,617

The Company allocates the relevant portion of the costs of delivering goods to points of sales to specify the purchase price of inventories in its commercial facilities. The Company conducts a periodic inventory of inventories. To restate them at the end of the period the inventory provision is estimated. As at 30 June 2021, the value of this provision was PLN 30,349 thousand (PLN 27,035 thousand as at 31 December 2020). As at 30 June 2021, the impairment loss on the net sales price was PLN 955 thousand (PLN 6,908 thousand as at 31 December 2020).

14. Impairment losses for receivables

	<i>Impairment losses for non-current receivables</i>	<i>Impairment losses for current receivables</i>
As at 1 January 2021	-	375
Increases	-	45
- impairment losses for settlements	-	45
Utilization	-	(244)
- impairment losses for settlements	-	(244)
Reversal	-	(37)
- impairment losses for settlements	-	(37)
As at 30 June 2021	-	139

	<i>Impairment losses for non-current receivables</i>	<i>Impairment losses for current receivables</i>
As at 1 January 2020	-	188
Increases	-	274
- impairment losses for settlements	-	274
Utilization	-	(84)
- impairment losses for settlements	-	(84)
Reversal	-	(3)
- impairment losses for settlements	-	(3)
As at 31 December 2020	-	375

15. Capital

As at 30 June 2021 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

As at 31 December 2020 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

As at the balance sheet date, the ownership structure of the Company's share capital was as follows:

30 June 2021

	<i>Number of shares and number of votes at the Shareholder Meeting</i>	<i>Share in the share capital and in votes at the Shareholder Meeting</i>
Tomasz Biernacki	50,160,000	51.16%
Other shareholders	47,880,000	48.84%
Total	98,040,000	100.00 %

31 December 2020

	<i>Number of shares and number of votes at the Shareholder Meeting</i>	<i>Share in the share capital and in votes at the Shareholder Meeting</i>
Tomasz Biernacki	50,160,000	51.16%
Other shareholders	47,880,000	48.84%
Total	98,040,000	100.00 %

16. Provisions

	<i>Deferred tax liability</i>	<i>Provision for pension and disability benefits</i>	<i>Total</i>
As at 1 January 2021	47,916	3,757	51,673
Increases	30,613	-	30,613
Utilization	-	-	-
As at 30 June 2021, including:	78,529	3,757	82,286
Long-term provisions	78,529	2,514	81,043
Short-term provisions	-	1,243	1,243

(in thousands of PLN)

	<i>Deferred tax liability</i>	<i>Provision for pension and similar benefits</i>	<i>Total</i>
As at 1 January 2020	37,114	2,525	39,639
Increases	-	1,232	1,232
Reversal	10,802	-	10,802
Utilization	-	-	-
As at 31 December 2020, including:	47,916	3,757	51,673
Non-current	47,916	2,514	50,430
Current	-	1,243	1,243

17. Interest-bearing bank loans and borrowings, debt securities and lease liabilities

	<i>30.06.2021</i>	<i>31.12.2020</i>
Current		
Finance lease liabilities	20,789	28,986
Investment loans	139,517	138,252
Loans to finance current activity	25,754	25,754
Borrowing	-	155
Issue of debt securities	170,907	930
	356,967	194,077
Non-current		
Finance lease liabilities	14,599	21,811
Investment loans	445,780	465,252
Loans to finance current activity	93,919	106,796
Issue of debt securities	249,938	419,936
	804,236	1,013,795

DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2021
Additional notes
(in thousands of PLN)

No.	Type of liability	Date agreement signed	Outstanding liability as at 30 June 2021*	Interest rate	Date of repayment	Collateral type
			(thousands of PLN)			
1	Credit facility BANK 1	2012-01-26	-	WIBOR + margin	2021-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2	Credit facility BANK 1	2016-10-25	26,705	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
3	Credit facility BANK 1	2013-05-23	5,417	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
4	Credit facility BANK 1	2016-10-25	81,176	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
5	Credit facility BANK 1	2019-02-11	58,353	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
6	Credit facility BANK 1	2020-02-07	132,800	WIBOR + margin	2023-11-06	joint contractual mortgage, assignment of rights to an insurance policy
7	Credit facility BANK 2	2018-02-19	47,543	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
8	Credit facility BANK 3	2021-03-12	-	WIBOR + margin	2024-02-05	joint contractual mortgage, assignment of rights to an insurance policy
9	Credit facility BANK 3	2012-03-08	756	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
10	Credit facility BANK 3	2013-11-22	855	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
11	Credit facility BANK 3	2014-01-09	7,362	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
12	Credit facility BANK 3	2015-04-17	9,615	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
13	Credit facility BANK 3	2016-08-16	2,463	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
14	Credit facility BANK 4	2014-04-15	-	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
15	Credit facility BANK 4	2014-04-15	8,340	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
16	Credit facility BANK 4	2016-04-15	9,376	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
17	Credit facility BANK 4	2018-07-03	43,750	WIBOR + margin	2026-07-02	joint contractual mortgage, assignment of rights to an insurance policy
18	Credit facility BANK 4	2020-08-24	50,000	WIBOR + margin	2027-08-23	joint contractual mortgage, assignment of rights to an insurance policy
19	Credit facility BANK 5	2020-12-18	-	WIBOR + margin	2022-12-17	joint contractual mortgage, assignment of rights to an insurance policy
20	Credit facility BANK 5	2018-08-09	26,250	WIBOR + margin	2023-08-08	joint contractual mortgage, assignment of rights to an insurance policy
21	Credit facility BANK 5	2019-08-08	57,900	WIBOR + margin	2024-07-21	joint contractual mortgage, assignment of rights to an insurance policy
22	Credit facility BANK 5	2020-04-03	35,523	WIBOR + margin	2025-04-02	joint contractual mortgage, assignment of rights to an insurance policy
23	Credit facility BANK 5	2021-02-11	-	WIBOR + margin	2023-02-07	joint contractual mortgage, assignment of rights to an insurance policy
24	Credit facility BANK 6	2017-03-20	-	WIBOR + margin	2021-03-31	joint contractual mortgage, assignment of rights to an insurance policy
25	Credit facility BANK 6	2017-03-20	51,429	WIBOR + margin	2025-12-31	joint contractual mortgage, assignment of rights to an insurance policy
26	Credit facility BANK 6	2019-09-04	50,164	WIBOR + margin	2025-09-04	joint contractual mortgage, assignment of rights to an insurance policy
27	Credit facility BANK 7	2018-10-03	-	WIBOR + margin	2021-10-01	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL			705,777			

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Interim condensed financial statements for the 6-month period ended 30 June 2021
Additional notes
(in thousands of PLN)

No.	Type of liability	Date agreement signed	Outstanding liability as at 31 December 2020*	Interest rate	Date of repayment	Collateral type
			(thousands of PLN)			
1	Credit facility BANK 1	2012-01-26	-	WIBOR + margin	2021-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2	Credit facility BANK 1	2011-04-13	347	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
3	Credit facility BANK 1	2013-05-23	10,833	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
4	Credit facility BANK 1	2016-10-25	30,814	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
5	Credit facility BANK 1	2016-10-25	91,765	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
6	Credit facility BANK 1	2019-02-11	64,000	WIBOR + margin	2026-08-11	joint contractual mortgage, assignment of rights to an insurance policy
7	Credit facility BANK 1	2020-02-07	145,700	WIBOR + margin	2023-11-06	joint contractual mortgage, assignment of rights to an insurance policy
8	Credit facility BANK 2	2018-02-19	51,296	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
9	Credit facility BANK 3	2013-11-22	1,038	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
10	Credit facility BANK 3	2012-03-08	1,513	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
11	Credit facility BANK 3	2014-01-09	8,955	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
12	Credit facility BANK 3	2015-04-17	10,897	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
13	Credit facility BANK 3	2016-08-16	2,721	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
14	Credit facility BANK 3	2016-11-04	-	WIBOR + margin	2022-10-06	joint contractual mortgage, assignment of rights to an insurance policy
15	Credit facility BANK 4	2020-04-03	38,050	WIBOR + margin	2025-04-02	joint contractual mortgage, assignment of rights to an insurance policy
16	Credit facility BANK 4	2018-08-09	30,000	WIBOR + margin	2023-08-08	joint contractual mortgage, assignment of rights to an insurance policy
17	Credit facility BANK 4	2019-08-08	64,500	WIBOR + margin	2024-07-21	joint contractual mortgage, assignment of rights to an insurance policy
18	Credit facility BANK 4	2018-08-09	-	WIBOR + margin	2021-08-08	joint contractual mortgage, assignment of rights to an insurance policy
19	Credit facility BANK 5	2014-04-15	-	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
20	Credit facility BANK 5	2014-04-15	12,506	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
21	Credit facility BANK 5	2018-07-03	47,917	WIBOR + margin	2026-07-02	joint contractual mortgage, assignment of rights to an insurance policy
22	Credit facility BANK 5	2016-04-15	10,938	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
23	Credit facility BANK 5	2020-08-24	-	WIBOR + margin	2027-08-23	joint contractual mortgage, assignment of rights to an insurance policy
24	Credit facility BANK 6	2017-03-20	-	WIBOR + margin	2021-03-31	joint contractual mortgage, assignment of rights to an insurance policy
25	Credit facility BANK 6	2017-03-20	57,143	WIBOR + margin	2025-12-31	joint contractual mortgage, assignment of rights to an insurance policy
26	Credit facility BANK 6	2019-09-04	56,066	WIBOR + margin	2025-09-04	joint contractual mortgage, assignment of rights to an insurance policy
27	Credit facility BANK 7	2018-10-03	-	WIBOR + margin	2021-10-01	joint contractual mortgage, assignment of rights to an insurance policy, statement of submission to enforcement art. 777 par. 1 item 5 of the Code of Civil Procedure
28	Borrowing	2016-02-24	155	WIBOR + margin	2021-02-28	bill of exchange
TOTAL			737,154			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

18. Other significant changes

18.1 Non-recurring amounts and events

No non-recurring events transpired in the Company's business in the period from 1 January 2021 to 30 June 2021.

18.2 Investment securities

The Company did not issue, redeem or pay down any non-equity or investment securities in the period from 1 January 2021 to 30 June 2021 and in the period from 1 January 2020 to 30 June 2020.

18.3 Litigation

In the period from 1 January 2021 to 30 June 2021 the Company was not a party to any material case under a statement of claim launched by or against the Company, which in the opinion of the Management Board should be disclosed.

18.4 Contingent liabilities, also including the guarantees and sureties extended by the entity, also on bills of exchange and contingent assets

As at 30 June 2021 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Agro-Rydzyna sp. z o.o., agreement of 14 December 2011 entered into with BRE Bank S.A. for PLN 14,750 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2021. The surety covers the principal, interest on the principal and other costs.
2. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement of 15 January 2018 entered into with PKO BP S.A. for PLN 16,074 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.
3. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., investment loan agreement of 16 August 2016 entered into with mBank S.A. for PLN 32,000 thousand. The loan has a floating interest rate. The final date of repayment is 30 July 2021. The surety covers the principal, interest on the principal and other costs.
4. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., investment loan agreement of 2 January 2020 entered into with PKO BP S.A. for PLN 50,000 thousand. The loan has a floating interest rate. The final date of repayment is 2 April 2023. The surety covers the principal, interest on the principal and other costs.
5. surety for amortization of an overdraft agreement drawn down by Agro-Rydzyna sp. z o.o., agreement of 13 November 2018 entered into with BGŻ BNP Paribas SA for the amount of PLN 35,000 thousand. The loan has a floating interest rate. The final date of repayment is 31 March 2023. The surety covers the principal, interest on the principal and other costs.
6. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości 4 S.A., agreement of 5 June 2020 entered into with PKO BP SA for the amount of PLN 50,000 thousand. The loan has a floating interest rate. The final date of repayment is 5 September 2023. The surety covers the principal, interest on the principal and other costs.

As at 30 June 2020 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Agro-Rydzyna sp. z o.o., agreement of 14 December 2011 entered into with BRE Bank S.A. for PLN 14,750 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2021. The surety covers the principal, interest on the principal and other costs.
2. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement of 15 January 2018 entered into with PKO BP S.A. for PLN 16,074 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.

3. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., investment loan agreement of 16 August 2016 entered into with mBank S.A. for PLN 32,000 thousand. The loan has a floating interest rate. The final date of repayment is 30 July 2021. The surety covers the principal, interest on the principal and other costs.
4. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., investment loan agreement of 2 January 2020 entered into with PKO BP S.A. for PLN 50,000 thousand. The loan has a floating interest rate. The final date of repayment is 2 April 2023. The surety covers the principal, interest on the principal and other costs.
5. surety for amortization of an overdraft agreement drawn down by Agro-Rydzyna sp. z o.o., agreement of 13 November 2018 entered into with BGŻ BNP Paribas SA for the amount of PLN 15,000 thousand. The loan has a floating interest rate. The final date of repayment is 13 November 2020. The surety covers the principal, interest on the principal and other costs.

18.5 Obligations to incur capital expenditures

As at 30 June 2021, liabilities for property, plant and equipment purchases were related mainly to the purchase of services related to the ongoing rollout of the Dino Polska Group store network. The total figure was PLN 156,787 thousand (PLN 104,923 thousand as at 30 June 2020).

18.6 Cash and cash equivalents

For the purposes of the interim statement of cash flows, cash and cash equivalents consist of the following line items:

	<i>30.06.2021</i>	<i>31.12.2020</i>	<i>30.06.2020</i>
Cash at bank and in hand	122,342	180,613	190,088
Cash en route	18,015	14,572	10,203
Short-term deposits	29,843	228,460	79,480
Total	170,200	423,645	279,771

The cash on VAT accounts is restricted cash. As at 30 June 2021, restricted cash totaled PLN 15 thousand (PLN 1 thousand as at 31 December 2020 and PLN 490 thousand as at 30 June 2020).

The tables below depict the reasons for the differences between the balance sheet movements in some line items and the movements following from the statement of cash flows:

<i>Interest and profit sharing (in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Result on financing activity for interest	17,222	22,444
Financial expenses - commissions and sureties received	1,835	(430)
Interest and profit sharing in the statement of cash flows	19,057	22,014

<i>Receivables (in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Balance sheet movement in net non-current and current receivables	62,411	29,822
Movement in receivables on the sale of fixed assets	(323)	(430)
Movement in receivables in the statement of cash flows	62,088	29,392

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Interim condensed financial statements for the 6-month period ended 30 June 2021
Additional notes
(in thousands of PLN)

<i>Liabilities (in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Balance sheet movement of current and non-current liabilities	(7,288)	7,867
Balance sheet movement of current and non-current loans and borrowings	17,239	(218,982)
Movement in finance lease liabilities	15,409	20,921
Movement in liabilities for the fees for received sureties	1,921	3,524
Movement in settlements on the purchase of fixed assets	1,152	26,988
Movement in liabilities in the statement of cash flows	28,433	(159,682)

18.7 Other selected disclosures

No material events requiring disclosure transpired in the reporting period.

19. Objectives and principles of managing financial risk

The Company is exposed to market risk, which encompasses mostly the risk of changing interest rates, but is not exposed to foreign exchange rate fluctuation risk. The Company does not hold and does not issue any financial derivatives held for trading.

The Company has guidelines and recommendations in place for managing financial risk, which define its comprehensive operating strategies, risk tolerance level and the overall risk management philosophy.

No material changes were made to the rules of financial risk management in the 6-month period ended 30 June 2021 compared to the 2020 financial statements.

20. Financial instruments

In the Company's opinion, the fair value of cash, short-term deposits, trade receivables, trade payables, bank loans, other loans, outstanding bonds and lease liabilities does not deviate from their carrying amounts. In the 6-month period ended 30 June 2021, no changes were made to the fair value measurement methodology pertaining to financial instruments and no changes were made to the classification of financial assets resulting from a change of purpose or use of such assets.

Carrying amounts of individual classes of financial instruments

	<i>Carrying amount</i>	
	<i>30.06.2021</i>	<i>31.12.2020</i>
<i>Financial assets</i>		
Cash	170,200	423,645
Trade receivables	27,857	48,640
Other financial assets (non-current)	755,831	755,831
Total	953,888	1,228,116
<i>Financial liabilities</i>		
Trade payables	1,080,652	944,298
Trade payables in factoring, including supplier finance programs	513,602	601,969
Liabilities under finance lease agreements and hire-purchase agreements	35,388	50,797
Loans and borrowings based on a floating interest rate	704,970	736,209
Bonds	420,845	420,866
Total	2,755,457	2,754,139

21. Discontinued activity

The Company has not discontinued any operations in the period covered by these financial statements.

22. Related party transactions

1. Group

The Company functions within the Dino Polska Group.

The Company prepares consolidated financial statements for the group in which it is the parent company.

2. Transactions with other related parties, including parties under the parent company's joint control and parties that have been deemed to be related parties on account of personal ties to the majority shareholder or the Company's key personnel

The size of transactions with subsidiaries and associates was as follows:

"Agro-Rydzyna" spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	699,808	596,637
Sales	6,278	2,146
	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	2,261	5
Payables on account of goods, work and services	338,116	266,402
Other payables	-	3

Centrum Wynajmu Nieruchomości spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	18,672	18,007
Sales	1,069	351
Sales - sureties	338	675
Interest – financial income	1,433	925
	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	836	591
Payables on account of goods, work and services	9,441	685
Loans granted	91,841	56,407
Loans received	2,238	1,571
Receivables for mortgage sureties	1,013	675
Other payables	1,907	2,044

Centrum Wynajmu Nieruchomości I S.A.

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(in thousands of PLN)

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	11,215	7,912
Sales	71	9
Interest - financial expenses	-	260
Interest – financial income	903	-

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	47	7
Payables on account of goods, work and services	5,925	-
Loans granted	53,160	34,719
Loans received	172	99
Other receivables	5	-
Other payables	1	-

Centrum Wynajmu Nieruchomości 2 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	8,412	7,791
Sales	19	7
Interest – financial income	62	197

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	8	4
Payables on account of goods, work and services	4,706	1,557
Loans granted	3,019	7,094
Loans received	2,373	1,522

Centrum Wynajmu Nieruchomości 3 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	7,417	6,930
Sales	9	7
Interest - financial expenses	137	-

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	4	4
Payables on account of goods, work and services	4,170	2,592
Loans received	10,919	6,052

Centrum Wynajmu Nieruchomości 4 S.A.

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<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	14,042	8,204
Sales	42	108
Sales - sureties	335	-
Interest – financial income	185	1,151

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	42	6
Payables on account of goods, work and services	8,361	7,201
Loans granted	11,321	17,426
Loans received	1,670	1,053
Receivables for mortgage sureties	226	226
Other receivables	-	1

Centrum Wynajmu Nieruchomości 5 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	6,692	6,229
Sales	16	7
Interest - financial expenses	236	90

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	9	4
Payables on account of goods, work and services	1,259	1,223
Loans received	12,548	10,617

Centrum Wynajmu Nieruchomości 6 S.A.

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	7,759	7,188
Sales	16	7
Interest - financial expenses	79	-
Interest – financial income	-	29

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	6	4
Payables on account of goods, work and services	4,378	4,204
Loans granted	5	5
Loans received	10,150	3,314

PIK Finanse spółka z ograniczoną odpowiedzialnością

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Interim condensed financial statements for the 6-month period ended 30 June 2021
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(in thousands of PLN)

<i>(in thousands of PLN)</i>	<u>01.01.2021- 30.06.2021</u>	<u>01.01.2020- 30.06.2020</u>
Sales	6	4

<i>(in thousands of PLN)</i>	<u>30.06.2021</u>	<u>31.12.2020</u>
Receivables on account of goods, work and services	3	3
Loans received	10,776	10,896
Other receivables	5	5

Dino Krotoszyn spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<u>01.01.2021- 30.06.2021</u>	<u>01.01.2020- 30.06.2020</u>
Purchases	12,259	10,700
Sales	53	78
Interest - financial expenses	232	199

<i>(in thousands of PLN)</i>	<u>30.06.2021</u>	<u>31.12.2020</u>
Receivables on account of goods, work and services	28	38
Payables on account of goods, work and services	9,904	8,303
Loans granted	-	10,423
Loans received	10,622	-

Dino Oil spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<u>01.01.2021- 30.06.2021</u>	<u>01.01.2020- 30.06.2020</u>
Purchases	-	8
Sales	4	4
Interest – financial income	10	4

<i>(in thousands of PLN)</i>	<u>30.06.2021</u>	<u>31.12.2020</u>
Receivables on account of goods, work and services	2	2
Payables on account of goods, work and services	-	-
Loans granted	1,210	-

Dino Północ spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<u>01.01.2021- 30.06.2021</u>	<u>01.01.2020- 30.06.2020</u>
Sales	-	2

<i>(in thousands of PLN)</i>	<u>30.06.2021</u>	<u>31.12.2020</u>
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Interim condensed financial statements for the 6-month period ended 30 June 2021
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(in thousands of PLN)

Receivables on account of goods, work and services	38	38
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Dino Południe spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	32,600	23,411
Sales	90	93
Interest – financial income	522	524

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	46	65
Payables on account of goods, work and services	17,462	11,788
Loans granted	29,689	29,689

The amount of the transactions with other related parties was:

Agrofirma Spółdzielcza

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	117	-
Sales	4	-

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Payables on account of goods, work and services	5	-

TBE spółka z ograniczoną odpowiedzialnością

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Sales	2	2

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Receivables on account of goods, work and services	-	1

Krot Invest KR Inżynieria sp. z o.o. SKA

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	289,906	174,332
Sales	610	579

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
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DINO POLSKA S.A.
Interim condensed financial statements for the 6-month period ended 30 June 2021
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(in thousands of PLN)

Receivables on account of goods, work and services	304	334
Payables on account of goods, work and services	7	25
Other receivables	-	17
Other payables	114,233	249

Krot Invest 2 KR Inżynieria sp. z o.o. Sp.k.

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 30.06.2020</i>
Purchases	15,115	9,004
Sales	1	2

<i>(in thousands of PLN)</i>	<i>30.06.2021</i>	<i>31.12.2020</i>
Payables on account of goods, work and services	1,383	1,463
Other payables	308	119,699

The transaction with the management was for the following amount:

<i>(in thousands of PLN)</i>	<i>01.01.2021- 30.06.2021</i>	<i>01.01.2020- 31.12.2020</i>	<i>01.01.2020- 30.06.2020</i>
Key managers (Management Board members)	-	-	-
Supervisory Board	-	-	-

Related party transactions were routine in nature and concluded on the arm's length basis, at prices no different from the prices used in transactions between unrelated parties.

23. Events after the reporting period

No other material events transpired up to the date of preparation of these interim condensed financial statements that would require recognition or description hereunder.

INDEPENDENT AUDITOR'S REPORT ON REVIEW OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

To the Shareholders and Supervisory Board of Dino Polska S.A. Capital Group

Introduction

We have reviewed the interim condensed consolidated financial statements of Dino Polska S.A. Capital Group (the 'Group'), for which the holding company is Dino Polska S.A. (the 'Company') located in Krotoszyn at Ostrowska 122 Street, containing: the consolidated statement of financial position as at 30 June 2021, the consolidated statement of comprehensive income, the consolidated statement of changes in equity, the consolidated statement of cash flows for the period from 1 January 2021 to 30 June 2021 and other explanatory notes (the 'interim condensed consolidated financial statements').

The Company's Management is responsible for the preparation and presentation of the interim condensed consolidated financial statements in accordance with the requirements of International Accounting Standard 34 *Interim Financial Reporting* as adopted by the European Union.

Our responsibility is to express a conclusion on the interim condensed consolidated financial statements based on our review.

Scope of review

We conducted our review in accordance with National Review Standard 2410 in the wording of the International Standard on Review Engagements 2410 *Review of Interim Financial Information Performed by the Independent Auditor of the Entity* ('standard'), adopted by the National Council of Statutory Auditors. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, applying analytical and other review procedures.

A review is substantially less in scope than an audit conducted in accordance with National Auditing Standards in the wording of the International Auditing Standards adopted by the National Council of Statutory Auditors and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with the requirements of International Accounting Standard 34 *Interim Financial Reporting* as adopted by the European Union.

Warsaw, 19 August 2021

Key certified auditor

Lukasz Wojciechowski
certified auditor
no in the register: 12273

on behalf of
Ernst & Young Audyt Polska
spółka z ograniczoną odpowiedzialnością sp. k.
Rondo ONZ 1, 00-124 Warsaw
no on audit firms list: 130

INDEPENDENT AUDITOR'S REPORT ON REVIEW OF INTERIM CONDENSED FINANCIAL STATEMENTS

To the Shareholders and Supervisory Board of Dino Polska S.A.

Introduction

We have reviewed the interim condensed financial statements of Dino Polska S.A. (the 'Company') located in Krotoszyn at Ostrowska 122 Street, including: the introduction to the financial statements, the balance sheet as at 30 June 2021, the income statement, the statement of changes in equity, the statement of cash flows for the period from 1 January 2021 to 30 June 2021 and the additional information and explanations (the 'interim condensed financial statements').

The scope and format of the interim condensed financial statements for the period from 1 January 2021 to 30 June 2021 is prescribed by the Decree of the Minister of Finance dated 29 March 2018 on current and periodic information published by issuers of securities and conditions for recognition as equivalent the information required by laws of non-EU member states (the 'Decree on current and periodic information').

The Company's Management is responsible for the preparation and presentation of the interim condensed financial statements in accordance with the requirements of the Accounting Act dated 29 September 1994 (the 'Accounting Act') the implementing rules and other applicable laws, and also in accordance with the requirements prescribed by the Decree on current and periodic information.

Our responsibility is to express a conclusion on the interim condensed financial statements based on our review.

Scope of review

We conducted our review in accordance with National Review Standard 2410 in the wording of the International Standard on Review Engagements 2410 *Review of Interim Financial Information Performed by the Independent Auditor of the Entity* ('standard'), adopted by the National Council of Statutory Auditors. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, applying analytical and other review procedures.

A review is substantially less in scope than an audit conducted in accordance with National Auditing Standards in the wording of the International Auditing Standards adopted by the National Council of Statutory Auditors and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the interim condensed financial statements are not prepared, in all material respects, in accordance with the requirements of the Accounting Act, the implementing rules and other applicable laws and also in accordance with requirements prescribed by the Decree on current and periodic information.

Warsaw, 19 August 2021

Key certified auditor

Łukasz Wojciechowski
certified auditor
no in the register: 12273

on behalf of
Ernst & Young Audyt Polska
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